

DINO POLSKA S.A. CAPITAL GROUP

CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEARS ENDED 31 DECEMBER 2016, 31 DECEMBER 2015 AND 31 DECEMBER 2014

PREPARED IN ACCORDANCE WITH THE INTERNATIONAL FINANCIAL

REPORTING STANDARDS APPROVED FOR USE IN THE EU

WITH INDEPENDENT AUDITOR'S REPORT

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CONSOLIDATED STATEMENT OF PROFIT AND LOSS

for the years ended 31 December 2016, 31 December 2015 and 31 December 2014

	Note	Year ended 31 December 2016	Year ended 31 December 2015	Year ended 31 December 2014
Continuing operations				
Sales	8	3,369,517	2,589,576	2,107,984
Cost of sales	9	(2,599,005)	(2,004,710)	(1,644,080)
Gross profit		770,512	584,866	463,904
Other operating income	9.4	2,616	3,120	1,522
Selling and marketing costs	9	(505,855)	(391,580)	(324,634)
Administrative expenses and general overheads	9	(49,434)	(35,354)	(31,338)
Other operating expenses	9.5	(2,250)	(998)	(3,667)
Operating profit		215,589	160,054	105,787
Financial income	9.6	473	99	168
Financial expenses	9.7	(29,607)	(24,922)	(26,662)
Profit before tax		186,455	135,231	79,293
Income tax	10	(35,245)	(13,059)	(13,156)
Net profit from continuing operations		151,210	122,172	66,137
Net profit for the year		151,210	122,172	66,137
Profit attributable to:				
Equity holders of the parent entity		151,210	122,172	66,137
Earnings per share:				
– basic for the year attributable to the equity holders of the parent entity		1.54	1.25	0.67
– basic from continuing operations for the year attributable to the equity holders of the parent entity		1.54	1.25	0.67
– diluted for profit for the year attributable to the equity holders of the parent entity		1.54	1.25	0.67
– diluted from continuing operations for the year attributable to the equity holders of the parent entity		1.54	1.25	0.67

Summary of significant accounting policies and other explanatory notes included on pages 10 to 67 are
an integral part of these consolidated financial statements.

This is a translation of consolidated financial statements originally issued in Polish.

CONSOLIDATED STATEMENT OF OTHER COMPREHENSIVE INCOME

for the years ended 31 December 2016, 31 December 2015 and 31 December 2014

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Net profit for the year	151,210	122,172	66,137
<i>Items not subject to be reclassified to profit/loss in future reporting periods:</i>			
Gains / (losses) actuarial related to defined benefit plans	38	(12)	(22)
Income tax on other comprehensive income	(7)	2	4
Other net comprehensive income not subjected to be reclassified to profit in future reporting periods	31	(10)	(18)
Other net comprehensive income	31	(10)	(18)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	151,241	122,162	66,119
Total comprehensive income attributable to:			
Equity holders of the parent entity	151,241	122,162	66,119
Non-controlling interests	-	-	-
	151,241	122,162	66,119

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CONSOLIDATED STATEMENT OF FINANCIAL POSITION**as at 31 December 2016, 31 December 2015 and 31 December 2014**

	<i>Note</i>	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
ASSETS				
Property, plant and equipment	14	1,337,207	1,024,199	798,948
Intangible assets	16	93,072	92,253	90,700
Other non-financial assets (long term)	17	-	-	1,885
Deferred tax assets	10.3	26,867	34,311	37,049
Total non-current assets		1,457,146	1,150,763	928,582
Inventories	18	276,541	212,146	182,286
Trade receivables and other receivables	19	33,665	21,687	18,796
Income tax receivables		613	105	48
Other non-financial assets	17	22,447	20,742	13,515
Cash and cash equivalents	20	66,428	33,920	23,739
Total current assets		399,694	288,600	238,384
TOTAL ASSETS		1,856,840	1,439,363	1,166,966
EQUITY AND LIABILITIES				
Equity (attributable to the equity holders of the parent entity)		683,476	532,235	410,073
Share capital	21.1	9,804	9,804	9,804
Reserve capital	22	510,720	393,019	316,048
Retained earnings		162,952	129,412	84,221
Non-controlling interests		-	-	-
Total equity		683,476	532,235	410,073
Interest-bearing loans, borrowings and finance lease liabilities	23	452,378	361,774	285,962
Other liabilities		300	-	-
Provisions for employee benefits	24	1,115	758	533
Deferred tax liabilities	10.3	5,498	588	1,572
Accruals	25.3	87	73	76
Total long-term liabilities		459,378	363,193	288,143
Current liabilities				
Trade and other payables	25.1	574,426	429,195	337,620
	25.2			
Current portion of interest-bearing loans and finance lease liabilities	23	110,173	101,504	118,187
Income tax liabilities	25.2	10,268	3,368	4,608
Accruals	25.3	13,227	9,796	8,286
Provisions for employee benefits	24	5,892	72	49
Total current liabilities		713,986	543,935	468,750
Total liabilities		1,173,364	907,128	756,893
TOTAL EQUITY AND LIABILITIES		1,856,840	1,439,363	1,166,966

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CONSOLIDATED STATEMENT OF CASH FLOWS**for the years ended 31 December 2016, 31 December 2015 and 31 December 2014**

	<i>Note</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Cash flows from operating activities				
Profit before tax		186,455	135,231	79,293
Adjustments for:		137,868	110,163	109,185
Depreciation and amortization	9.1	65,202	50,177	41,880
Gain/(loss) from investing activities		1,574	193	417
Change in the balance of receivables	26	(15,592)	(10,808)	59,041
Change in the balance of inventories		(64,395)	(29,860)	25,464
Change in the balance of payables except loans and borrowings	26	127,224	84,204	(45,513)
Interest income		(440)	(60)	(153)
Interest expenses		29,658	24,955	26,486
Change in the balance of accruals		4,928	3,859	2,975
Change in the balance of provisions	26	6,178	114	249
Income tax paid		(16,507)	(12,599)	(1,639)
Other		38	(12)	(22)
Net cash flows from operating activities		324,323	245,394	188,478
Cash flows from investing activities				
Proceeds from sale of property, plant and equipment and intangibles		1,112	925	374
Purchase of property, plant and equipment and intangibles		(311,732)	(243,487)	(170,722)
Interest received		440	60	153
Net cash flows from investing activities		(310,180)	(242,502)	(170,195)
Cash flows from financing activities j				
Payment of financial lease liabilities		(43,902)	(30,024)	(24,456)
Proceeds from loans and borrowings		219,061	141,770	111,653
Repayment of loans and borrowings		(127,136)	(79,502)	(72,771)
Interest paid		(29,658)	(24,955)	(26,486)
Net cash flows from financing activities		18,365	7,289	(12,060)
Net increase/(decrease) in cash and cash equivalents		32,508	10,181	6,223
Cash and cash equivalents at the beginning of the period		33,920	23,739	17,516
Cash and cash equivalents at the end of the period		66,428	33,920	23,739

Summary of significant accounting policies and other explanatory notes included on pages 10 to 67 are an integral part of these consolidated financial statements.

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(PLN thousands)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
for the years ended 31 December 2016, 31 December 2015 and 31 December 2014

Attributable to equity holders of the parent entity

	<i>Note</i>	<i>Share capital</i>	<i>Reserve capital</i>	<i>Retained earnings</i>	<i>Total equity</i>
Balance as at 1 January 2016		9,804	393,019	129,412	532,235
Net profit for 2016		-	-	151,210	151,210
Other comprehensive net income for 2016		-	-	31	31
<i>Total comprehensive income for the year</i>		-	-	<i>151,241</i>	<i>151,241</i>
Profit appropriation for 2015		-	117,701	(117,701)	-
Balance as at 31 December 2016	21	9,804	510,720	162,952	683,476
Balance as at 1 January 2015		9,804	316,048	84,221	410,073
Net profit for 2015		-	-	122,172	122,172
Other comprehensive net income for 2015		-	-	(10)	(10)
<i>Total comprehensive income for the year</i>		-	-	<i>122,162</i>	<i>122,162</i>
Profit appropriation for 2014		-	76,971	(76,971)	-
Balance as at 31 December 2015	21	9,804	393,019	129,412	532,235
Balance as at 1 January 2014		9,804	263,541	70,609	343,954
Net profit for 2014		-	-	66,137	66,137
Other comprehensive net income for 2014		-	-	(18)	(18)
<i>Total comprehensive income for the year</i>		-	-	<i>66,119</i>	<i>66,119</i>
Profit appropriation for 2013		-	52,507	(52,507)	-
Balance as at 31 December 2014	21	9,804	316,048	84,221	410,073

Summary of significant accounting policies and other explanatory notes included on pages 10 to 66 are an integral part of these consolidated financial statements.
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SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND OTHER EXPLANATORY NOTES

1. General information

DINO Polska S.A. Capital Group („Group”) includes DINO Polska S.A. („parent entity”, „Company”) and its subsidiaries (see Note 2). The Group’s Consolidated Financial Statements were prepared to place the initial public offer prospect and encompass years ended 31 December 2016, 31 December 2015 and 31 December 2014

Company was set up on the base of notarial deed drawn up on 9 November 2007 under the name of DINO Polska limited liability company. On 21 December 2011 Shareholders’ meeting adopted a resolution on transformation Company into Dino Polska S.A.

The parent entity was entered into Register of Entrepreneurs maintained by the District Court Poznań Nowe Miasto i Wilda, the 8th Commercial Department of the National Court Register, entry number KRS 0000408273.

The parent entity was allocated the statistical identification number REGON 300820828.

Company headquarter is located at: Ostrowska 122, 63-700 Krotoszyn.

The duration of the parent entity and the entities included in the Capital Group is indefinite.

The main business of the Group is the retail sale in non-specialized stores with food, beverages and tobacco. In addition, the Group conducts processing of meat and the resulting products are dedicated, in the form of culinary meat, to external recipients within the Group’s retail chain.

Authorization of Consolidated Financial Statements

These consolidated financial statements were authorized for issue by the Management Board on 24 February 2017.

DINO POLSKA S.A. CAPITAL GROUP

Consolidated Financial Statements for the years ended 31 December 2016, 31 December 2015 and 31 December 2014, prepared in accordance with the International Financial Reporting Standards approved for use in the EU
Summary of significant accounting policies and other explanatory notes.
(PLN thousands)

2. Composition of the Group

The Group consists of DINO Polska S.A. and the following subsidiaries:

<i>Name of the Company</i>	<i>Headquarters</i>	<i>Core business</i>	<i>Company's % share of equity</i>		
			<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
DINO Polska S.A. (parent entity)	Krotoszyn	Retail sale in non-specialized stores with food, beverages and tobacco products	-	-	-
Agro-Rydzyna Sp. z o.o.	Kłoda	Production of fresh-meat products	100%	100%	100%
Vitrena Holdings Ltd.*	Limassol, Cypr	Investments in property, shares, stocks, debentures, bonds, financial services of any kind	100%	100%	100%
Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych*	Warszawa	Investment of funds collected by non-public offering Investment Certificates specified in the Act of 27 May 2004 on investment funds (Journal of Laws of 2004, No. 146, item. 1546, as amended) and the Statute of the securities, money market instruments and other property rights	100%	100%	100%
Centrum Wynajmu Nieruchomości Sp. z o.o.	Krotoszyn	Rental and management of own or leased real estate	100%	100%	100%
Centrum Wynajmu Nieruchomości 1 S.A.	Krotoszyn	Acquisition and sale of real estate on own account, renting and management of own real estate, other financial service activities, activities of financial holdings	100%	100%	100%
Centrum Wynajmu Nieruchomości 2 S.A.	Krotoszyn	Acquisition and sale of real estate on own account, renting and management of own real estate, other financial service activities, activities of financial holdings	100%	100%	100%
Centrum Wynajmu Nieruchomości 3 S.A.	Krotoszyn	Acquisition and sale of real estate on own account, renting and management of own real estate, other financial service activities, activities of financial holdings	100%	100%	100%
Centrum Wynajmu Nieruchomości 4 S.A.	Krotoszyn	Acquisition and sale of real estate on own account, renting and management of own real estate, other financial service activities, activities of financial holdings	100%	100%	100%

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Centrum Wynajmu Nieruchomości 5 S.A.	Krotoszyn	Acquisition and sale of real estate on own account, renting and management of own real estate, other financial service activities, activities of financial holdings	100%	100%	100%
Centrum Wynajmu Nieruchomości 6 S.A.	Krotoszyn	Acquisition and sale of real estate on own account, renting and management of own real estate, other financial service activities, activities of financial holdings	100%	100%	100%
Centrum Wynajmu Nieruchomości Marketing Sp. z o.o.*	Krotoszyn	Acquisition and sale of real estate on own account, renting and management of own real estate, other financial service activities, activities of financial holdings	100%	100%	100%
Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA in liquidation*	Krotoszyn	Acquisition and sale of real estate on own account, renting and management of own real estate, other financial service activities, activities of financial holdings	100%	100%	100%
Dino Oil Sp. z o.o.*	Krotoszyn	Production and processing of oil refinery, retail sale of fuel for motor vehicles at service stations	100%	100%	100%
Dino Krotoszyn Sp. z o.o.	Krotoszyn	Warehousing and storage, processing and preserving of meat excl. poultry meat	100%	100%	100%
Pol – Food Polska Sp. z o.o.	Krotoszyn	Leasing of intellectual property and similar products, except copyrighted works	100%	100%	100%
Dino Północ Sp. z o.o. (previously Dino Logistics Północ Sp. z o.o.)*	Krotoszyn	Retail sale in non-specialized stores with food, beverages and tobacco products	100%	100%	-
Dino Południe Sp. z o.o. (previously Dino Market Sp. z o.o.)*	Krotoszyn	Retail sale in non-specialized stores with food, beverages and tobacco products	100%	100%	-

* At the date of preparation of the consolidated financial statements companies did not performed operating activities.

As at 31 December 2016, 31 December 2015 and 31 December 2014, the percentage of voting rights held by the Group in subsidiaries is equal to its share in the capital of these entities.

In the period from 1 January 2014 to 31 December 2016 the following changes were made in the Group structure:

- in 2015 the following companies were established: Dino Market Sp. z o.o. and Dino Logistics Północ Sp. z o.o. DINO Polska S.A. holds 100% of the shares and is the only shareholder. The existing limited joint-stock partnerships, i.e. Centrum Wynajmu Nieruchomości 1-6 has been transformed into a joint stock companies and Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing S.K.A. was converted into a limited liability company. Registration of the transformation of Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing S.K.A. in National Court Register was dated on 16 September 2015 and registration of transformation of Centrum Wynajmu Nieruchomości 1-6 in National Court Register was dated on 31 December 2015,
- on 22 December 2016 Extraordinary General Meeting decided to dissolve Centrum Wynajmu Nieruchomości Marketing 2 SKA (in liquidation),
- in 2016 began the process of liquidation of Vitrena Holdings Ltd. and Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych aimed at the Group reorganization.

3. Composition of the Management Board of the parent entity

As at 31 December 2016, the parent entity's Management Board consisted of:

Szymon Piduch – President of the Management Board

Michał Krauze – Member of the Management Board

On 28 February 2014, Michał Halwa has resigned from his position of the Member of the Management Board. Michał Krauze was appointed as Member of the Management Board with effect from 29 May 2014. During the reporting period and the date of approval of these consolidated financial statements, the Management Board of the parent entity has not changed.

4. Material values based on professional judgment and estimates

Preparation of the consolidated financial statements makes the parent entity's Management Board obliged to provide judgments, estimates and assumptions that may affect the presented revenues, costs, assets and liabilities, and related notes and explanations concerning contingent liabilities. Uncertainty related to these assumptions and estimates may cause material adjustments to the carrying amounts of assets and liabilities in the future.

4.1. Professional judgment

In the process of applying accounting principles (policies) the Management Board has made the following judgments that have the most important impact on the carrying values of assets and liabilities.

Classification of lease agreements

The Group classifies leases as operating or finance based on the assessment of the extent to which the ownership-related risks and benefits are attributable to the lessor and to the lessee. The assessment is based on the economic content of each transaction.

4.2. Uncertainty of estimates and assumptions

The main assumptions regarding the future and other key sources of uncertainty arising as at the balance sheet date, which entail the substantial risk of a material adjustment to the carrying values of assets and liabilities in the next financial year, are presented below. The Group has made assumptions and estimates about the future on the basis of the knowledge possessed during the preparation of the consolidated financial statements. The assumptions and estimates may change as a result of events in the future arising from changes on the market and other changes over which the Group has no control. These changes are reflected in the estimates or assumptions at the time of occurrence.

Impairment of trademarks and goodwill

The Group performed impairment tests of trademarks and goodwill. This required an estimation of the recoverable amount of the cash generating unit, to which the goodwill and trademark are allocated. Estimation of the recoverable amount consists of determining the future cash flows generated by the cash generating unit, and requires determining of discount rate to be used in order to arrive at current value of these cash flows. Assumption used for this purpose are disclosed in note 16.

Inventory valuation

The Group's inventories are valued at the lower of the two values: purchase price/ manufacturing cost and the realizable net sales price. The realizable net sales prices has been estimated as the price of the sale performed in terms of primary business activities, less the estimated necessary costs necessary to make a sale.

Valuation of provisions for employee benefits

Provisions for employee benefits are determined using actuarial methods. The assumptions adopted and sensitivity analysis are presented in note 24.

Assumptions of provisions for litigation

The Group is involved in a litigations. On the basis of the performed estimations, the Management Board assumed that the risk of losing the disputes is low. Therefore, no provisions were created for the on-going court cases.

Assets, liabilities and any provisions related to current and deferred taxes

Regulations regarding VAT, corporate income tax and social security contributions are subject to frequent changes. These frequent changes result in there being little point of reference, interpretations not consistent and few established precedents that may be followed. The binding regulations also contain uncertainties, resulting in differences in opinion regarding the legal interpretation of tax regulations both between government bodies, and between government bodies and companies.

Tax settlements and other areas of activity (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional taxation liabilities calculated as a result must be paid together with high interest. The above circumstances mean that tax exposure is greater in the Group's countries than in countries that have a more established taxation system.

Accordingly the amounts shown in the financial statements may change at a later date as a result of the final decision of the tax authorities.

Effective 15 July 2016, the Polish Tax Code was amended for the General Anti-Abuse Rule (GAAR) provisions. GAAR is intended to prevent the creation and use of artificial legal arrangements to avoid payment of tax in Poland and defines tax avoidance as an act carried out primarily in order to achieve a tax benefit, contrary in the circumstances to the object and goal of a provision of a tax act, which shall not result in a tax benefit, if the mode of action was not genuine. All unjustified (i) split of operations, (ii) involvement of intermediary entities without any economic or business justification, (iii) elements that compensate or exclude each other and (iv) other actions with a similar effect to the previously mentioned, may be considered as prerequisites of artificial activities subject to GAAR. The new regulation will require significantly more judgement in assessment of the tax consequences of particular transactions.

The GAAR clause is effective with respect to transactions performed following its entry into force as well as transactions that were carried out before, but the benefits were / are being achieved after the date of its entry into force. Implementation of the above provisions will enable the Polish tax authorities to challenge legal arrangements by the taxpayers such as group's restructurings and reorganizations.

Depreciation and amortization rates

Depreciation rates are determined based on the estimated economic useful lives of tangible fixed assets and intangible assets. The Group annually reviews the useful lives based on current estimates.

5. Basis for preparation of consolidated financial statements

The consolidated financial statements have been prepared on a historical cost basis.

The consolidated financial statements are presented in polish zloty ("PLN") and all values are rounded to PLN thousands (PLN '000), unless stated otherwise.

The consolidated financial statements have been prepared on the assumption that the Group companies will continue as going concern in the foreseeable future i.e. a period of not less than 12 months from the balance sheet date, except for the Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA (in liquidation) and companies

Vitrena Holdings Ltd. and Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych, against which the process of liquidation has began.

As at 31 December 2016 the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where the most of sales are made on cash terms, inventories are minimized and suppliers give deferred payments. At the same time the Group conducts intensive development of networks involving free cash and cash from bank loans to increase number of existing stores. Precedent conditions related to the loan agreements are monitored. As at the balance sheet date 31 December 2016 the conditions of the loan agreements were not breached, moreover, in the opinion of the Management Board there is no risk of termination by the banks of these contracts within 12 months from the balance sheet date 31 December 2016. As at the date of approval of these consolidated financial statements, no circumstances have been found suggesting a threat to the continued operation of the activities of the Group's companies.

5.1. Statement of compliance

These consolidated financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") endorsed by the European Union ("IFRS EU"). As at the date of approval of these financial statements for publication, given the EU's pending process of introducing the IFRS standards and the Group's business, in terms of the accounting principles adopted by the Group the IFRS accounting principles differ from the IFRS EU principles. The IFRS EU contain standards and interpretations accepted by International Accounting Standards Board ("IASB") and the International Financial Reporting Interpretations Committee ("IFRIC").

Some of the Group's companies keep their accounting books in accordance with the accounting policy (principles) defined by the Accounting Act of 29 September 1994 ("the Accounting Act"), as amended and the regulations issued thereunder ("Polish Accounting Principles"). The consolidated financial statements include adjustments not included in the accounts of the Group's companies that were made to reconcile their financial statements to comply with IFRS.

5.2. Functional currency and currency of the financial statements

The consolidated financial statements of the Group are presented in zlotys, which is also the functional currency of the parent entity and its subsidiaries.

6. New standards and interpretations that have been issued but have not yet become effective

The following standards and interpretations were issued by the International Accounting Standards Board or International Financial Reporting Interpretations Committee but were not effective for these financial statements:

- IFRS 9 *Financial Instruments* (issued on 24 July 2014) – effective for financial years beginning on or after 1 January 2018,
- IFRS 14 *Regulatory Deferral Accounts* (issued on 30 January 2014) – The European Commission has decided not to launch the endorsement process of this interim standard and to wait for the final standard – not yet endorsed by EU at the date of approval of these financial statements – effective for financial years beginning on or after 1 January 2016,
- IFRS 15 *Revenue from Contracts with Customers* (issued on 28 May 2014), including amendments to IFRS 15 *Effective date of IFRS 15* (issued on 11 September 2015) - effective for financial years beginning on or after 1 January 2018,
- Amendments to IFRS 10 and IAS 28 *Sale or Contribution of Assets Between an Investor and its Associate or Joint Venture* (issued on 11 September 2014) - the endorsement process of these Amendments has been postponed by EU - the effective date was deferred indefinitely by IASB,
- IFRS 16 *Leases* (issued on 13 January 2016) - not yet endorsed by EU at the date of approval of these financial statements - effective for financial years beginning on or after 1 January 2019,

- Amendments to IFRS 4 *Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts* (issued on 12 September 2016) - not yet endorsed by EU at the date of approval of these financial statements - effective for financial years beginning on or after 1 January 2018,
- Amendments to IAS 12 *Recognition of Deferred Tax Assets for Unrealised Losses* (issued on 19 January 2016) - not yet endorsed by EU at the date of approval of these financial statements – effective for financial years beginning on or after 1 January 2017,
- Amendments to IAS 7 *Disclosure Initiative* (issued on 29 January 2016) - not yet endorsed by EU at the date of approval of these financial statements – effective for financial years beginning on or after 1 January 2017,
- Clarifications to IFRS 15 *Revenue from Contracts with Customers* (issued on 12 April 2016) - not yet endorsed by EU at the date of approval of these financial statements – effective for financial years beginning on or after 1 January 2018,
- Amendments to IFRS 2 *Classification and Measurement of Share-based Payment Transactions* (issued on 20 June 2016) - not yet endorsed by EU at the date of approval of these financial statements – effective for financial years beginning on or after 1 January 2018,
- *Annual Improvements to IFRS Standards 2014-2016 Cycle* (issued on 8 December 2016) - not yet endorsed by EU at the date of approval of these financial statements – Amendments to IFRS 12 are effective for financial years beginning on or after 1 January 2017, while amendments to IFRS 1 and IAS 28 are effective for financial years beginning on or after 1 January 2018,
- IFRIC Interpretation 22 *Foreign Currency Transactions and Advance Consideration* (issued on 8 December 2016) - not yet endorsed by EU at the date of approval of these financial statements – effective for financial years beginning on or after 1 January 2018,
- Amendments to IAS 40: *Transfers of Investment Property* (issued on 8 December 2016) - not yet endorsed by EU at the date of approval of these financial statements – effective for financial years beginning on or after 1 January 2018.

The Management Board is currently analyzing the impact of the above standards, interpretations and amendments to standards on the consolidated financial statements.

6.1. Implementation of IFRS 9

IFRS 9 „Financial Instruments” effective for financial years beginning on or after 1 January 2018 with possibility of earlier adoption.

IFRS 9 requires all financial assets within the scope of IAS 39 are measured at amortized cost or fair value. Debt investments held within a business model whose objective is to obtain the appropriate cash flow, consisting of a fixed basic payment amounts and interest - are measured at amortized cost at the end of subsequent reporting periods. All other debt investments and equity investments are measured at fair value at the end of subsequent reporting periods. In addition, changes in fair value of capital investments that are not held for trading may be presented in other comprehensive income, while in the income statement is recognized only dividend. Decision is irreversible.

Detailed analysis of the impact of the new standard on the financial statements of the Group has not yet been completed, but initial evaluation indicates that the impact of this will concern issues related to the determination of the loss of value of trade receivables and considered a simplified approach for estimating impairment losses ("12-month expected credit losses "). Considering the relatively stable level of receivables year-to-year, the Group does not expect a material impact of the new standard on the consolidated financial statements.

6.2. Implementation of IFRS 15

The new accounting standard issued on 28 May 2014 applies to annual periods beginning on or after 1 January 2018.

The new standard primarily changes the way in which entities account for contracts with customers, mainly when one contract is related to the provision of services and goods.

The principles set out in IFRS 15 will apply to all contracts resulting in revenues. The new standard provides a unified model of recognition and measurement of sales. In accordance with it, the contract with the customer will be analyzed in five stages, including:

1. identification of contract,
2. identification of contractual (individual) obligations to perform service contained in the agreement,
3. setting the price transaction,
4. allocation of the price transaction for the contract to realize the benefits contained in the agreement,
5. revenue recognition at the time of fulfillment of the obligations by the entity.

In accordance with IFRS 15, an entity recognizes revenue at the time of the fulfillment of an performance obligation, that is, at the moment of transfer a control over the goods or services covered by this commitment to the customer. IFRS 15 also includes a much more restrictive guidance on specific aspects of revenue recognition. It also requires disclosure of a wide range of information. On 12 April 2016 explanations providing additional information and clarification regarding the key assumptions used in IFRS 15, including on the identification on separate responsibilities, determining whether an entity acts as an intermediary (agent), or is the main supplier of goods and services (principal) and the method of recording revenue from licenses have been published. Apart from the additional explanations, also exemptions and simplification were introduced for entities applying the new standard for the first time. IFRS 15 will come into force in the financial year commencing on January 1, 2018.

Upon entry into the force, IFRS 15 will replace the guidance on revenue recognition in IAS 18 "Revenue", IAS 11 "Construction Contracts" and related Interpretations.

The Group is currently analyzing the impact of IFRS 15 and preliminary assesses that the impact of IFRS 15 on its consolidated financial statements will be insignificant. The vast majority of the Group's revenue is generated by sales to retail customers carried out using cash register and therefore there are no complicated customer contracts. In addition, the Company collaborates with one franchisee and preliminary analysis of the contractual arrangements with the entity did not indicate a significant impact on the settlement of transactions using the new standard. Payments from suppliers related to the benefits for the services of distribution of goods, as well as cash bonuses for the distribution of goods provided by these suppliers are presented by the Group as a decrease from the cost of goods purchased from these vendors. Therefore, also in this area the Group does not expect any material impact of the new standard on the consolidated financial statements.

6.3. Implementation of IFRS 16

IFRS 16 „Leases” effective for financial years beginning on or after 1 January 2019.

IFRS 16 establishes rules for the recognition, measurement, presentation and disclosures relating to the lease. All leasing transactions result in obtaining the lessee's right to use the assets and liabilities arising from the obligation to pay. Thus, IFRS 16 abolishes the distinction between operating leases and finance leases and introduces a model of accounting by the lessee. The lessee will be required to include:

- assets and liabilities for all leases entered a period of over 12 months, except when the asset is the low value;
- depreciation of leased assets separately from the interest on the lease liability in the financial statements.

The Group estimates that the adoption of the IFRS 16 "Lease" may to some degree increase both its assets and liabilities in connection with the lease agreements concluded for the use of premises and warehouse space. Estimated impact on assets and liabilities according to preliminary calculations, amounts to approximately PLN 31 million as at 31 December 2016.

7. Significant accounting policies

7.1. Principles of consolidation

These consolidated financial statements include the financial statements of DINO Polska S.A. and the financial statements of its subsidiaries prepared for the years ended 31 December 2016, 31 December 2015 and

31 December 2014. The financial year of the parent company and its subsidiaries is the calendar year except for the Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA (in liquidation).

The financial statements of the subsidiaries after adjustments required to comply with IFRS are prepared for the same financial period as the parent entity's financial statements, with the use of consistent accounting policies and based on uniform accounting principles for transactions and economic events of a similar nature. Adjustments are made to eliminate any discrepancies in the adopted accounting principles.

All balances and transactions between the Group's entities, including unrealized gains from transactions within the Group, have been entirely eliminated. Unrealized losses have been eliminated unless they constitute evidence of impairment.

The subsidiaries are subject to consolidation in the period from the day on which the Group assumes control over them and cease to be consolidated on the day on which such control ends. The parent entity exercises control over an entity when:

- it has authority over the given entity,
- it is subject to exposure to variable returns or has the right of variable returns for its commitment in the given entity,
- it is able to exercise control in order to establish the level of returns generated.

The company confirms that it exercises control over other entities if the situation arose indicating a change in one or more of the above conditions of exercising control.

In the situation where the company holds less than a majority of the voting rights in a given entity, but the voting rights held are sufficient to unilaterally manage this entity's important activities, this means that it exercises control over it. At the time of the assessment of whether the voting rights in a given entity are sufficient to ensure control, the Company examines all of the relevant circumstances, including:

- the level of the stake of voting rights held compared to the stake of shares and the degree of fragmentation of the voting rights held by other shareholders;
- the potential voting rights held by the Company, other shareholders or other parties;
- the rights arising from other contractual arrangements; as well as
- additional circumstances which can prove that the Company has or does not have the ability to manage material activities at times of decision-making, including voting patterns observed at the previous general meetings of shareholders.

The changes in the shareholding of the parent entity, which do not result in a loss of control over a subsidiary, are recognized as equity transactions. In such cases, in order to reflect the changes in relative shares in a subsidiary, the Group makes an adjustment of the carrying value of the controlling and non-controlling interests. Any differences between the amount of the adjustments to the non-controlling interests and the fair value of the amount paid or received are recognized in the equity and assigned to the parent entity.

7.2. Measurement at fair value

The fair value of financial instruments measured at amortized cost has been disclosed in note 32.

Fair value is defined as the price that would be received from the sale of an asset or paid to transfer a liability in a transaction conducted on normal conditions of selling an asset between entities on the market as at the measurement date at the current market conditions. The fair value measurement is based on the assumption that the transaction of the sale of the asset or the transfer of the liability takes place either:

- on the main market for the given asset or liability,
- in the absence of a main market, on the best market for the given asset or liability.

The Group must have access to both the main and the most beneficial market.

The fair value of the asset or liability is measured under the assumption that, when setting the price of the asset or liability, the market players act in their best business interests.

The fair value measurement of a non-financial asset takes into account the ability of the entity on the market to generate economic benefits by the greatest and best possible use of the asset or its sale to another entity on the market, which would give it the greatest and the best use of that asset.

The Group uses measurement techniques that are appropriate to the circumstances and where sufficient data is available for measurement at fair value, with the maximum use of appropriate observable input data and minimal use of non-observable input data.

All assets and liabilities which are measured at fair value or their fair value is disclosed in the financial statements are classified at the fair value hierarchy in the manner described below on the basis of the lowest level of input data which is material to the measurement at fair value treated as a whole:

- Level 1 – Quoted (unadjusted) market prices on an active market for identical assets or liabilities,
- Level 2 – Measurement techniques for which the lowest level input data that is significant to the measurement at fair value as a whole is directly or indirectly observable,
- Level 3 – Measurement techniques for which the lowest level input data that is significant to the measurement at fair value is non-observable.

The Group assesses assets and liabilities, which are present in the financial statements at the individual balance sheet dates, on each balance sheet date, as to whether transfers took place between the levels of the hierarchy through a reassessment of the classification to the individual levels based on materiality of input data from the lowest level, which is important to the measurement at fair value treated as a whole.

Summary of significant processes related to fair value measurement.

Group sets out rules and procedures for both systematic valued at the fair value of unlisted financial assets and valuations of disposable eg. in the case of assets held for sale in discontinued operations.

Independent experts are engaged to carry out the valuation of significant assets such as investment properties or assets available for sale.

For the purposes of the disclosure of the results of measurement at fair value the Group established classes of assets and liabilities based on the type, characteristics and risks of individual components of assets and liabilities and the level in the fair value hierarchy, as described above.

7.3. Foreign currency transactions

Transactions expressed in currencies other than Polish zloty are converted into Polish zlotys using the exchange rate which is in force on the transaction date.

As at the balance sheet date, cash assets and liabilities expressed in currencies other than Polish zloty are converted into Polish zlotys using the mid exchange rate in force for the given currency by the National Bank of Poland as at the end of the reporting period. Exchange gains or losses which arise from the conversion are recognized accordingly in the financial income (costs) or, in the cases specified by the accounting principles (policies), are capitalized in the value of the assets. Non-monetary assets and liabilities recognized at historic cost and expressed in a foreign currency are recorded at the historical rate of the transaction date. Non-monetary assets and liabilities recognized at fair value expressed in a foreign currency are converted at the rate from the date of the fair-value measurement. Gains or losses arising from the translation of assets and non-monetary obligations recognized in the fair value are accounted for in accordance with the recognition of gain or loss arising from changes in fair value (or in other comprehensive income or profit or loss, depending on where it is recognized change in fair value).

The following exchange rates were adopted for valuation purposes:

	31 December 2016	31 December 2015	31 December 2014
EUR	4.4240	4.2615	4.2623

The functional currency of foreign subsidiaries is Polish zloty.

Goodwill arise from acquisition of a foreign entity and any adjustments for fair value measurement of assets and liabilities on the acquisition are treated as assets or liabilities of such foreign entity and calculated at the average exchange rate for a given currency prevailing at the balance sheet date and announced by the National Bank of Poland.

The weighted average exchange rates for the respective periods were as follows:

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
EUR	4.3625	4.1839	4.1852

7.4. Property, plant and equipment

Property, plant and equipment are measured at purchase price or manufacturing cost less accumulated depreciation and impairment losses. The initial cost of an item of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. Cost also comprises the cost of replacement of fixed asset components when incurred, if the recognition criteria are met. Subsequent expenditures, such as repair or maintenance costs, are expensed in the reporting period in which they were incurred. Tangible fixed assets also include advance payments for future purchases of tangible fixed assets.

Fixed assets at the time of purchase are divided into components which are items of significant value, for which the Company can assign a separate useful life. General renovations are also part of the costs.

Depreciation is calculated on a straight-line basis over the estimated useful life of an asset, which is:

<i>Type</i>	<i>Period</i>
Buildings and structures	10-40 years
Plant and equipment	3-12 years
Means of transport	5-7 years
Other fixed assets	2-12 years

The residual value, useful life and depreciation method are reviewed annually and any amendments are made on the balance sheet date.

An item of property, plant and equipment may be removed from the consolidated statement of financial position after its sale or when there are no expected economic benefits of continued use of the asset. Any gains or losses arising from the removal of an asset from the consolidated statement of financial position (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) are recognized in profit or loss in the period in which the removal was done.

Investments relating to fixed assets under construction or assembly are recognized at purchase price or production cost, less any impairment losses. Assets under construction are not depreciated until completed and until the asset is available for use.

7.4.1. Non-current assets held for sale

Non-current assets and groups for sale are considered to be held for sale, when their carrying amount will be recovered rather as a result of the sale than through continuing use. This condition can be met only when the sale is highly probable and the asset is available for immediate sale in its present condition. Classification of assets as held for sale that the management intends to complete the sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of carrying amount or fair value less costs to sell.

If the Group wants to make a sale transaction which may result in the loss of control of its subsidiary, all assets and liabilities of that subsidiary are classified as held for sale, regardless of whether the Group will retain control of non-controlling interests after this transaction.

7.5. Intangible assets

Intangible assets acquired in a separate transaction or generated (if they meet the criteria for recognition as the costs of development costs) are measured, when first recognized, at the purchase price or manufacturing cost,

respectively. The purchase price of intangible assets acquired within a merger transaction is equal to their fair value as at the date of the merger. Following initial recognition, intangible assets are disclosed at purchase price or manufacturing cost less accumulated amortization and impairment write-downs. Expenditure incurred on internally generated intangible assets, except capitalized expenditure incurred on development work, are not capitalized and are recognized in the expenses for the period in which they were incurred.

The Group specifies whether the period of use of the intangible assets is definite or indefinite. Intangible assets of a definite period of use are amortized over their economic lives and are subject to impairment tests each time that evidence appears suggesting their impairment. The term and method of amortizing intangible assets with a definite period of use is verified at least at the end of each financial year. Any changes in the expected economic life or excepted method of consumption of the economic benefits derived from the given asset are recognized by changing the period or method of amortization respectively and treated as changes in estimated values. Amortization write-downs to intangible assets of a definite economic life are recognized in the profit or loss in the category which reflects the functions of the given intangible asset.

Intangible assets with an indefinite economic life (goodwill and trademarks) and those which are not used are subject to an annual impairment test, with respect to the individual assets or at the level of the cash generating unit. The economic lives are reviewed annually.

Summary of the policies applied to the Group's intangible assets is as follows:

<i>Goodwill and trademarks</i>	
Useful lives	Indefinite
The impairment test	Tested every year
<i>Other intangible assets</i>	
Useful lives	2-10 years
Applied method of depreciation	Straight line
The impairment test	Annual assessment whether there are any indicators of impairment

Gains or losses resulting from removal of intangible assets from the consolidated statement of financial position are calculated as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in profit or loss when they are removed from the consolidated statement of financial position.

7.5.1. Goodwill

The goodwill arising from the acquisition of an entity is initially recognized at the purchase price constituting the surplus of the sum of:

- the payment made,
- the value of any non-controlling interest in the target entity and
- if the entities are merged in stages, fair value as at the date of acquisition of the share in the target entity's equity previously belonging to the acquiring company

over the net amount determined as at the date of acquisition of the values of identifiable assets acquired and liabilities assumed.

After initial recognition, goodwill is measured at purchase price less accumulated depreciation and impairment charges. The impairment test is conducted once a year or more frequently if the indications require this. Goodwill is not amortized.

On the day of acquisition, goodwill is allocated to make every part of the cash-generating units that can benefit from the synergies connection. Each unit or group of units make the goodwill has been allocated:

- represents the lowest level within the Group at which the goodwill is monitored for internal management purposes; and
- is no greater than one operating segment specified in accordance with IFRS 8 Operating Segments.

An impairment write-down is determined by way of estimating the recoverable value of the cash generating unit to which the given goodwill was allocated. An impairment write-down is recognized if the recoverable value of the cash generating unit is lower than the carrying value. If the goodwill is a part of a cash generating unit and part of the business within such a unit is sold, the goodwill related to the business that is sold is included in its carrying

value when calculating the profits or losses from the sale of such a business. In such circumstances, the goodwill sold is determined on the basis of the relative value of the business sold and the value of the part of the cash generating unit that is kept.

7.6. Leasing

The Group as lessee

Financial leases which fundamentally transfer all the risks and rewards arising from possession of a leased asset to the Group are recognized in the statement of financial position as at the date of the start of the lease at the lower of the fair value of the leased fixed asset constituting the subject matter of the lease or the present value of the minimum lease payments. Lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Financial expenses are recognized in profit or loss, unless the capitalization requirements are met.

Fixed assets used under financial leases are depreciated over the shorter of two periods: useful life of the asset or the lease term.

Where the lessor retains substantially the whole of the risk and all benefits arising from possession of a leased asset, leases are classified as operating leases. Lease charges from operating leases and later least instalments are recognized as operating expenses in profit or loss using the straight-line method throughout the term of the lease. Contingent lease charges are recognized as expenses in the period in which they become payable.

7.7. Impairment of non-financial non-current assets

The Group assesses on each balance sheet date whether there is any evidence suggesting that any of the non-financial non-current assets have become impaired. If it is concluded that such premises have arisen, or if it is necessary to carry out an annual impairment test, the Group estimates the realizable value of the given asset or cash generating centre to which the given asset belongs.

The realizable value of the asset or cash generating unit reflects the higher of the fair value less expenses incurred in order to sell such an asset or respectively cash generating unit and its value in use. The realizable value is determined for individual assets, unless the given asset does not independently generate cash inflows, which are largely independent, generated by other assets or groups of assets. Impairment arises if the carrying value of an asset is higher than its realizable value, and a write-down is then made to the specified realizable value. When estimating the value in use, the forecast cash flows are discounted to their present value using a discount rate before taking account of the effects of taxation effects, which reflects the current market estimate of the time value of money and the risk which is typical of the given asset. Impairment write-downs to assets used for continuing operations are recognized in those categories of costs which correspond to the function of an asset in the case of which impairment was found.

On each balance sheet date, the Group assesses whether any evidence has appeared suggesting that an impairment write-down which was recognized in previous periods with respect to a given asset is unnecessary or if it should be reduced. If such indications arise, the Group estimates the realizable value of that asset. A previously recognized impairment write-down is only reversed if there has been a change in the estimated values applied to determine the realizable value of the given asset since the last recognition of the impairment write-down. In such a case, the carrying amount of the asset is increased to its realizable value. The increased amount may not exceed the carrying value of the asset that would have been determined (after including depreciation), if no impairment write-downs had been recognized for that asset in previous years. The reversal of an impairment write-down to an asset is immediately recognized as a revenue. After the reversal of the impairment write-down, in the following periods, the depreciation write-down to the given asset is adjusted so that it is possible to systematically write down its verified carrying value less end value in the remaining period of use of that asset.

7.8. Cost of external financing

Borrowing costs that are directly attributable to make the acquisition, construction or production of a customized component assets i.e. one that requires a significant time needed to get ready for its intended use, are capitalized

as part of purchase price or production cost of fixed assets. The Group does not possess assets requiring significant time to be prepared for use, therefore the borrowing costs are not capitalized.

7.9. Financial assets

Financial assets are split into the following categories:

- financial assets held to maturity,
- financial assets measured at fair value through profit and loss,
- loans and receivables,
- financial assets available for sale,

Financial assets held to maturity are financial assets listed on an active market, which are not derivatives, with defined or definable payments and maturity date, which the Group intends to and may keep until that time, other than:

- assigned at the initial recognition as measured at fair value through profit or loss,
- assigned as available for sale,
- satisfy the definition of loans and receivables.

Financial assets held to maturity are measured at amortized cost using the effective interest rate method. Financial assets held to maturity are classified as long-term assets if their maturity exceeds 12 months from the balance sheet date.

A financial asset measured at fair value through profit or loss is an asset which satisfies one of the following conditions:

a) it is classified as marketable. Financial assets held for trading as marketable if they are:

- acquired mainly to be sold in a short period,
- a part of a portfolio of specified financial instruments managed jointly and with respect to which there is a probability of achieving a profit in the short term,
- derivatives, excluding derivatives which are an accounting component of hedge accounting and financial guarantee contracts,

b) it has been assigned to this category during the initial recognition, in accordance with IAS 39.

Financial assets measured at fair value through profit or loss are measured at fair value taking into account their market value as at the balance sheet date excluding the cost of a sales transaction. Any changes in the value of these financial instruments are recognized in the statement of comprehensive income as financial income or costs. If the contract contains one or more embedded derivatives, the whole of the contract may be recognized as financial assets measured at fair value through profit or loss. This does not apply if the embedded derivative does not materially affect the cash flows from the contract or it is obvious that, without any analysis or after a superficial analysis, had a similar hybrid instrument been considered first, the separation of the embedded derivative would be prohibited. Financial assets may be classified as financial assets measured at fair value through profit or loss at the initial recognition if the following criteria are satisfied: (i) such a classification eliminates or significantly reduces inconsistency in recognition or measurement (accounting mismatch); or (ii) the assets are a part of a group of financial assets which are managed and measured at their fair value, according to a documented risk management strategy; or (iii) the financial assets contain embedded derivatives which may be separately recognized. As at 31 December 2016, 31 December 2015 and 31 December 2014 no financial assets have been designated as measured at fair value by profit or loss.

Loans and receivables are non-derivative financial assets with defined or definable payments, not listed on an active market. They are current assets if their maturity date is no later than 12 months after the balance sheet date. Loans granted and receivables with the maturity date of longer than 12 months after the balance sheet date are non-current assets.

Financial assets available for sale are non-derivative financial assets, which were classified as available for sale or not classified into any of the three categories of assets mentioned previously. Financial assets available for sale are recognized at fair value plus by the transaction costs, which may be directly assigned to the purchase or issue of a financial asset. If financial assets available for sale are not listed on an active market and their fair value cannot be reliably established using any alternative methods, they are measured at purchase price, adjusted for the

impairment write-down. After deducting deferred tax the positive and negative difference between the fair value of assets available for sale (if a market price exists which is set on an active market, or if their fair value can be reliably established) and their purchase price is recognized in other comprehensive income. The decrease of the value of assets available for sale caused by impairment is recognized as a financial cost.

Purchases and sales of financial assets are recognized as at the transaction date. At the time of initial recognition, in the case of an asset not classified as measured at fair value through profit or loss, a financial asset is measured at fair value plus transaction costs, which may be directly assigned to the purchase.

A financial asset is removed from the balance sheet if the Group loses control over the contractual rights which comprise the given financial asset; this usually takes place when the instrument is sold or all cash flows assigned to that instrument are transferred to an independent third party

If the Group:

- has a valid legal title to offset amounts recognized and
- intends to make settlement on a net basis, or to simultaneously realize the asset and perform the liability

the financial asset and financial liability are offset and disclosed in the statement of financial position at the net amount.

The framework agreement described in IAS 32.50 does not constitute grounds for making the offset if both the criteria described above are not satisfied.

7.10. Impairment of financial assets

The Group assesses whether there is objective evidence indicating impairment of a financial asset or a group of financial assets on every balance sheet day.

7.10.1. Assets stated at amortized cost

If there are objective premises to believe that a loss has been incurred from the impairment of loans granted and receivables measured at amortized cost, the amount of the impairment write-down equals the difference between the carrying value of the financial asset and the present value of the estimated future cash flows (excluding future losses on bad debts, which have not yet been incurred), discounted with the original (i.e. established at the initial recognition) effective interest rate. The carrying value of an asset is reduced directly / through the use of impairment write-downs. The amount of loss is recognized as either a profit or a loss.

The Group initially assesses whether there are objective premises for impairment of individual financial assets which are individually material, as well as premises for impairment of financial assets which are individually not material. If the analysis shows that there are no objective premises for impairment of an individually assessed financial asset, regardless of whether or not it is material, the Group includes this asset among the group of financial assets with a similar credit risk and jointly assesses them for impairment. The assets which are individually assessed for impairment and for which an impairment write-down was established or it was acknowledged that the previous write-down has not changed are not included in the joint assessment for impairment of the group of assets.

If the loss from the impairment reduced in the following period and this reduction can be objectively related to an event that took place after the recognition of the impairment, then the previously recognized write-down is reversed. The later reversal of the impairment write-down is recognized in profit or loss to the extent in which the carrying value of the asset is not higher than its amortized cost as at the reversal date.

7.10.2. Financial assets stated at cost

If there are objective premises that an impairment has taken place of an unlisted equity instrument, which is not measured at fair value, because its fair value may not be reliably established, or of a derivative which is related and must be settled through the supply of such an unlisted equity instrument, the amount of the impairment write-down is determined as the difference between the carrying value of an asset and the present value of the estimated future cash flows discounted with the use of the current market rate of return for similar financial assets.

7.10.3. Financial assets available for sale

If there is objective evidence of impairment of a financial asset available for sale, the amount constituting the difference between the purchase price of that asset (less all repayments of principal and depreciation) and its

present fair value, less all impairment write-downs to that asset previously recognized in profit or loss, it is derecognized from equity and reclassified to profit or loss. It is inadmissible to recognize a reversal of an impairment write-down to equity instruments classified as available for sale in profit or loss. If, in the next period, the fair value of a debt instrument available for sale increases and this increase may objectively relate to an event taking place after the recognition of the impairment write-down in profit or loss, the amount of the reversed write-down is recognized in profit or loss.

7.11. Inventories

Inventories are measured at purchase price, no higher than their net realizable price.

The purchase price or the production cost of an inventory component takes into account the costs of purchase, the costs of conversion and other equipment costs incurred in bringing the inventories to make their present location and condition - both in terms of the current and the previous year - and are determined as follows:

Materials	- at purchase price using the “first in, first out” method
Finished goods and work in progress	- the cost of direct materials and labour and an appropriate overhead of indirect manufacturing costs determined under the assumption of normal production capacity utilisation, excluding external financing
Merchandise	- at purchase price using the “first in, first out” method

The net realizable price is the estimated sales price that can be achieved in the course of the entity’s normal business, less the costs of finishing and the estimated costs required to finalize the sale. Costs of transport from the warehouse to stores are part of the valuation of inventories and cost of sales upon the moment of sale.

7.12. Trade receivables

Trade receivables and services are recognized and carried at original invoiced amount less an allowance for doubtful receivables. Allowances for doubtful debts are made when the collection of the full amount is no longer probable.

If the effect of time value of money is material, the value of receivables is determined by discounting the expected future cash flows to their present value using a discount rate that reflects the current market assessments of the time value of money. If a method based on discounting is used, the increase in receivables due to the passage of time is recognized as finance income.

7.13. Other receivables

Other receivables include in particular receivables from store bills, deposits paid for the purchase of tangible fixed assets and receivables from employees. Budgetary receivables are presented under other non-financial assets, excluding income tax receivables, which are presented as a separate line item in the consolidated statement of financial position.

7.14. Cash and cash equivalents

Cash and short-term deposits disclosed in the balance sheet include cash in bank and cash in hand, as well as short-term deposits with an original maturity of up to three months and cash in transit due to payment cards.

The balance of cash and cash equivalents in the consolidated statement of cash flows consists of the aforementioned cash and cash equivalents.

The Group does not charge and does not have funds to the Social Fund in accordance with the Regulations of Remuneration.

7.15. Interest bearing loans, borrowings and debt securities

At the moment of their initial recognition, bank loans, borrowings and bonds are recognized at fair value less the costs related to the transaction conducted.

In later periods, they are measured at amortized cost using the effective interest method.

Amortized cost includes the costs associated with obtaining the loan and any discount or premium on settlement.

Revenues and expenses are recognized in profit or loss when the liabilities are removed from the consolidated statement of financial position, as well as in result of the settlement of effective interest rate method.

7.16. Trade payables

The value of trade payables is determined by discounting the expected future cash flows to their present value using a discount rate that reflects the current market assessments of the time value of money. If a method based on discounting is used, the increase in trade payables due to the passage of time is recognized as finance expenses. The Group uses the discount rate at an average interest rate of financial liabilities of the Group during the period. Average discount rate used to do the discounting of trade payables amounted: 3.97 % in 2014, 3.21 % in 2015 and 3.11 % in 2016.

The Group classifies the reverse factoring as a trade payables. Financing program for suppliers, functioning in the Group, does not generate costs related to this program and does not affect change in payment terms.

7.17. Financial liabilities

Financial liabilities valued at fair value through profit or loss include financial liabilities held for trading and financial liabilities initially classified as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near future. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments. Financial liabilities may be designated at initial recognition as at fair value through profit or loss if the following criteria are met: (i) the designation eliminates or significantly reduces incoherence of treatment when both the measurement and principles of recognizing losses or profits are subject to other regulations; or (ii) the liabilities are part of a group of financial liabilities which are managed and evaluated basis on a fair value, in accordance with a documented risk management strategy; or (iii) financial liabilities contain embedded derivatives that must be separately accounted for. As at 31 December 2016, 31 December 2015 and 31 December 2014, no financial liabilities have been designated as at fair value through profit or loss.

Financial liabilities other than financial instruments at fair value through profit or loss are measured at amortized cost using the effective interest rate method.

The Group excludes from its consolidated statement of financial position a financial liability when the liability is extinguished – it means when the obligation specified in the contract is discharged, canceled or expired. Replacement of the previous debt instrument by an instrument with substantially different terms between the same parties is recognized by the Group as a derecognition of the original liability and the recognition of a new liability. Significant modifications of existing contracts concerning the financial liability are recognized as an extinguishment of the original and the recognition of a new financial liability. The resulting exchange differences arising from the respective carrying amounts are recognized in profit or loss.

7.18. Other non-financial liabilities

Other non-financial liabilities include in particular liabilities to the tax office in respect of tax on goods and services, local taxes and liabilities arising from advances received, which will be settled by delivery of goods or services. Other non-financial liabilities are recognized at the amount payable.

7.19. Provisions

Provisions are recognized if the Group has an existing obligation (legal or customary) arising from past events and if it is probable that the fulfilment of this obligation will result in the need for an outflow of funds that generate economic gains and the amount of this liability can be reliably estimated. If the Group expects that the costs of the provision will be returned, for example under an insurance contract, the return is recognized as a separate asset but only when it is virtually certain that reimbursement will be received. The expenses relating to any provision are presented in the consolidated income statement after deducting any reimbursement.

If the effect of time value of money is material, provisions are determined by discounting the expected future cash flows to the present value using a discount rate that reflects the current market assessments of the time value of

money and the risk related to the liability. If the method used is based on discounting, the increase in the provision due to the passage of time is recognized as financial expenses.

7.20. Employee benefits

In accordance with internal remuneration systems, the Group's employees are entitled to retirement benefits. Retirement benefits are paid once at retirement. The amount of retirement benefits depends on the length of seniority and average employee's salary. The Group creates a provision for future retirement benefits in order to allocate the costs to the periods to which they relate. According to IAS 19, retirement benefits are classified as post-employment benefits. For each balance sheet date the present value of these liabilities is calculated by an independent actuary. Accrued liabilities are equal to discounted payments, which will be made in the future, taking into account staff rotation, and which relate to the period to the balance sheet date. Demographic information and information about staff rotation are based on historical data. Re-measurement of liabilities for employee benefits relating to defined benefit plans covering actuarial gains and losses recognized in other comprehensive income and is not subject to subsequent reclassification to profit or loss.

The Group recognizes the following changes in the net liabilities of the defined benefits within cost of sales, general and administrative expenses and selling costs, which include:

- employment costs (including but not limited current service cost, past service cost)
- net interest on net liabilities of the defined benefit program.

7.21. Revenues

Revenues are recognized at the probable amount of economic benefits that the Company will obtain from a given transaction, provided that the amount of such revenues can be reliably measured. Revenues are recognized at the fair value of the payment received or due less VAT and discounts. The criteria presented below also apply when recognizing revenues.

7.21.1. Sales of services to suppliers of goods

Revenues related to the benefits from the sale of services to suppliers of goods (eg. marketing services), the Group presents as a deduction in cost of goods purchased from these vendors.

7.21.2. Sales of goods

Revenues are recognized when the significant risks and rewards of ownership of the goods have been passed to the buyer and the amount of revenues can be measured reliably.

7.21.3. Interest

Interest income is recognized as it accrues (using the effective interest rate which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument) in relation to the net carrying amount of the financial asset.

7.21.4. Dividends

Dividends are recognized the stockholders' or shareholders' rights to receive them are determined.

7.21.5. Revenue from lease (operating lease)

Revenues from rental properties are recognized straight-line basis over the lease term in relation to existing contracts.

7.21.6. Government grants

If there is reasonable assurance that the grant will be received and will comply with the relevant conditions, government subsidies are recognized at their fair value.

When the grant relates to an expense item, it is recognized as other operating income in a proportional manner with the costs which the grant is intended to compensate. Where the grant relates to an asset, its fair value is recognized in deferred revenues and then gradually, by equal annual deduction, recognized in profit or loss over the estimated useful life of the related asset.

7.22. Taxes

7.22.1. Current income tax

Liabilities and receivables from current tax for the current period and previous periods are measured at the amount of the expected payment to the tax authorities (which are to be refunded by the tax authorities) using tax rates and tax regulations which legally or actually applied as at the balance sheet date.

7.22.2. Deferred tax

For the purpose of financial reporting, deferred tax is calculated with the use of the method of balance sheet liabilities with respect to the temporary gains appearing at the balance sheet date between the tax value of the assets and liabilities and their carrying value stated in the financial statements.

A deferred tax liabilities are recognized with respect to all temporary gains:

- except when a deferred tax liabilities are established as a result of the initial recognition of goodwill or the initial recognition of an asset or liability at a transaction which is not a merger of entities and which, at the moment of its conclusion, did not affect the profit or loss before tax or taxable income or the tax loss and
- in the case of temporary differences arising from investments in subsidiaries or affiliates and shares in joint ventures – with the exception of the situation where the dates for reversing the temporary gains are subject to an audit by an investor and if it is probable that the temporary gains will not be reversed in the foreseeable future.

Deferred tax assets are recognized with respect relation to all temporary losses, as well as unused deferred tax relief and unused tax losses that carried forward to future years to such a level as it is probable that a taxable income will be generated, which will enable the above differences, assets and losses to be used:

- except when a deferred tax assets regarding temporary losses are established as a result of the initial recognition of an asset or a liability at a transaction which is not a merger of entities and which, at the moment of its conclusion, did not affect the profit or loss before tax or taxable income or the tax loss and
- in the case of temporary losses from investments in subsidiaries and affiliates, as well as shares in joint ventures, the deferred tax assets are recognized in the balance sheet only to such a level as it is probable that these temporary losses can be reversed and a taxable income will be generated in the foreseeable future enabling the temporary losses to be offset.

The carrying value of the deferred tax assets are verified on every balance sheet date and are reduced accordingly if the generation of a taxable income, which is sufficient for the partial or full realization of the deferred tax assets, has ceased being probable. A deferred tax assets not recognized are reassessed at each balance sheet date and recognized to the amount that reflects the probability of achieving taxable income in the future, which will enable the recovery of this asset.

Deferred tax assets and provisions for deferred tax are measured with the use of the tax rates, which are expected to apply in the period in which the asset is realized or the provision released, by accepting the tax rates (and tax regulations) in force on the balance sheet date as the basis, or such rates as it is certain that they will apply on the balance sheet date.

Income tax on items recognized outside profit or loss is recognized outside profit or loss: in other comprehensive income on items included in other comprehensive income or directly in equity regarding items recognized directly in equity.

The Group sets off deferred tax assets against deferred tax liabilities only if it holds an enforceable title to set off the legal title for offsetting receivables against liabilities from current income tax and deferred tax is related to the same taxpayer and the same tax authority.

7.22.3. Value Added Tax

Revenues, expenses, assets and liabilities are recognized net of value added tax, except:

- when the value added tax paid at the time of purchase of the assets or services is not recoverable from the tax authorities; it is then recognized as a part of the purchase price of an asset or a part of an expense item and
- receivables and liabilities which are disclosed with the amount of value added tax.

The net amount of value added tax which is recoverable or due to tax authorities is recognized in the balance sheet as a part of other non-financial assets or non-financial liabilities.

7.23. Net earnings per share

The net earnings per share for each period is calculated by dividing the net profit for the given period by the weighted average number of stocks in that reporting period.

8. Operating segments

Dino Polska S.A. Capital Group is operating in one business sector and has only one operating and reportable segment in retail network.

Sales splits by product or article type and product group. The Management Board is not measuring any of the above specified elements based on their operating results – hence it is difficult to make meaningful assessments of the effect of allocating more or less resource to those elements. As such, information on sales alone has limited value in decision making. Therefore, as the smallest components of the business for which a rate of profitability is provided to the Management Board is the whole Group, only one operating segment was identified.

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>	<i>Year ended</i> <i>31 December 2014</i>
Sales of products and services	428,211	327,322	282,852
Sales of goods and materials	2,941,306	2,262,254	1,825,132
Total	3,369,517	2,589,576	2,107,984

Sales of meat products produced within the Group are presented as sales of products, while the retail sales of good purchased for resale are classified as sales of goods. The Group has no customers, for which the sale would exceed 10% of total sales. The Group generated all sales revenue domestically.

9. Revenue and expenses

9.1. Costs by type

	<i>Note</i>	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>	<i>Year ended</i> <i>31 December 2014</i>
Depreciation and amortization		65,202	50,177	41,880
Material and energy consumption		331,610	263,779	232,664
External Services		137,775	107,874	94,130
Taxes and charges		17,129	13,197	9,824
Employee benefits costs	9.3	341,805	255,104	207,470
Other costs		12,659	11,271	15,710
Goods and materials sold		2,249,878	1,730,102	1,399,805
Total costs by type, including:		3,156,058	2,431,504	2,001,483
Items included in cost of sales		2,599,005	2,004,710	1,644,080
Items included in selling and marketing costs		505,855	391,580	324,634

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Items included in administrative expenses and general overheads	49,434	35,354	31,338
Change of product balance	1,764	(140)	1,431

9.2. Depreciation and amortization recognized in profit or loss

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Items included in cost of sales:	4,459	3,564	3,465
Depreciation of property, plant and equipment	4,459	3,564	3,465
Items included in selling and marketing costs:	58,378	44,050	36,331
Depreciation of property, plant and equipment	57,772	43,634	35,977
Depreciation of intangible assets	606	416	354
Items included in administrative expenses and general overheads:	2,365	2,563	2,084
Depreciation of property, plant and equipment	652	743	575
Depreciation of intangible assets	1,713	1,820	1,509

9.3. Employee benefits costs

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Salaries	272,360	208,406	168,874
Provisions and accruals for employee benefits, including:	10,049	1,140	1,153
- unused holidays	3,852	892	972
- retirement and disability benefits	531	248	181
- incentive program	5,666	-	-
Social security costs	59,396	45,558	37,443
Total employee benefits, including:	341,805	255,104	207,470
Items included in cost of sales	9,901	7,472	7,194
Items included in selling and marketing costs	310,337	236,227	191,651
Items included in administrative expenses and general overheads	21,567	11,405	8,625

9.4. Other operating income

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Receivables write-off *	20	1,647	-
Grants	155	133	158
Compensation	1,589	657	857
Revenues from term deposits , PIT-4	54	41	33
Other	798	642	474
Total other operating income	2,616	3,120	1,522

* As at 31 December 2014 the Group wrote-off receivable in the amount of PLN 1,814 thousand from one of the contractors. An impairment has been fully reversed in 2015 due to repayment.

The line other includes i.a. surplus cash in tellers.

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9.5. Other operating expenses

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>	<i>Year ended</i> <i>31 December 2014</i>
Receivables write-off *	160	-	1,927
Losses resulting from the theft of goods	274	311	231
Disposal of property, plant and equipment	1,574	340	626
Litigation costs	1	37	82
Donations	97	55	219
Other	144	255	582
Total other operating expenses	2,250	998	3,667

* As at 31 December 2014 the Group wrote-off receivable in the amount of PLN 1,814 thousand from one of the contractors. An impairment has been fully reversed in 2015 due to repayment.

The line other comprises mainly of penalties and costs of reminders.

9.6. Financial income

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>	<i>Year ended</i> <i>31 December 2014</i>
Interest on bank accounts	73	60	40
Interest on receivables	367	-	113
Foreign exchange gains	-	28	-
Other	33	11	15
Total financial income	473	99	168

9.7. Financial expenses

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>	<i>Year ended</i> <i>31 December 2014</i>
Interest on bank loans	15,016	13,456	14,690
Interest on trade payables	10,355	8,024	7,040
Interest on other liabilities	4	54	137
Interest on borrowings	-	-	281
Interest on bonds	-	-	704
Finance charges under financial leases	3,454	2,905	3,221
Exchange losses	161	-	76
Commissions	617	413	415
Other	-	70	98
Total financial expenses	29,607	24,922	26,662

Interest on trade payables include the amount of interest from discounting these liabilities.

10. Income Tax

10.1. Tax charge

Major components of tax charge for the year ended 31 December 2016, 31 December 2015 and 31 December 2014 were as follows:

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Recognised in profit or loss			
<i>Current income tax</i>			
Current income tax charge	(22,891)	(11,305)	(6,358)
<i>Deferred income tax</i>			
Relating to origination and reversal of temporary differences	(12,354)	(1,754)	(6,798)
Tax charge disclosed in consolidated profit or loss	(35,245)	(13,059)	(13,156)
 Consolidated comprehensive income statement			
<i>Deferred income tax</i>			
Tax on actuarial gains / losses	(7)	2	4
Tax benefit / (tax charge) disclosed in other comprehensive income	(7)	2	4

10.2. Reconciliation of effective tax rate

Reconciliation of income tax on profit (loss) before tax at the statutory tax rate with income tax calculated at the effective tax rate for the years ended 31 December 2016, 31 December 2015 and 31 December 2014 is as follows:

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Profit before tax from continuing operations	186,455	135,231	79,293
Profit before tax	186,455	135,231	79,293
Income tax rate applicable in Poland, amounting to 19% (2015: 19% 2014: 19%)	(35,426)	(25,694)	(15,066)
Temporary differences arising on Group reorganization	-	12,151	-
Investment relief for activities in the special economic zone	853	785	2,179
Non-deductible expenses and non-taxable income	(672)	(446)	(265)
Other adjustments	-	145	(4)
Income tax at the effective tax rate	(35,245)	(13,059)	(13,156)
Income tax (burden) recognized in the consolidated profit or loss statement	(35,245)	(13,059)	(13,156)

* In 2015, temporary differences occurred as a result of the Group's business reorganization. For more information regarding those transactions please refer to note 10.3.

10.3. Deferred tax

Deferred tax results from the following items:

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	<i>Consolidated statement of financial position</i>			<i>Consolidated statement of profit and loss for the year ended</i>		
	<i>31</i>	<i>31</i>	<i>31</i>	<i>31</i>	<i>31</i>	<i>31</i>
	<i>December</i>	<i>December</i>	<i>December</i>	<i>December</i>	<i>December</i>	<i>December</i>
	<i>2016</i>	<i>2015</i>	<i>2014</i>	<i>2016</i>	<i>2015</i>	<i>2014</i>
<i>Deferred tax liabilities</i>						
Temporary difference in the carrying amount of property, plant and equipment	6,412	5,583	7,088	829	(1,505)	1,997
Property, plant and equipment used under lease agreements	5,427	3,234	2,410	2,193	824	(327)
Prepaid interest on received loans and interest accrued as the balance sheet date	3,949	14	104	3,935	(90)	(1,289)
Provision for deferred income	2,901	492	381	2,409	111	(160)
Other	6	6	2	-	4	(3)
Presentation adjustment	(13,197)	(8,741)	(8,413)	(4,456)	(328)	(906)
Deferred tax liabilities	5,498	588	1,572			
<i>Deferred tax assets</i>						
Receivables write-off	39	18	298	21	(280)	298
The difference in the valuation of inventories	4,485	3,351	3,233	1,153	118	857
Provisions for retirement benefits	255	158	110	97	48	34
Provision for unused holidays	2,414	1,700	1,535	714	165	185
Accruals for other liabilities (i.e. energy, bonuses, audit of financial statement)	2,858	612	192	2,246	420	(43)
Mandatory contract paid in the next year	84	164	146	(80)	18	37
Social Security contributions	1,882	1,403	1,069	479	334	144
Other (including VAT 150 days, cost withdrawal 30/90 CIT, foreign exchange losses, accrued unpaid interest on the balance sheet date)	3,163	179	350	2,984	(171)	(236)
Unused tax losses possible to be deducted from future taxable income	2,884	2,012	898	872	1,114	12
Temporary differences in the carrying amount of PPE	3,173	2,934	2,736	239	198	134
Relief on the size of capital expenditures for activities in the Special Economic Zone	4,000	4,000	3,944	-	56	1,543
Prepaid rents	14,408	22,641	30,951	(8,233)	(8,310)	(9,545)
The difference in the carrying amount of trademarks	-	3,880	-	(3,880)	3,880	-
Presentation adjustment*	(13,197)	(8,741)	(8,413)	(4,456)	(328)	(906)
Deferred tax assets	26,867	34,311	37,049			
Deferred tax charge				(12,354)	(1,754)	(6,798)

* Presentation adjustment is related to the set off deferred tax assets and deferred tax liabilities at the level of individual companies comprising the Group.

In the calculation of a deferred tax during the 2013 year, the Group recognized a deferred tax asset due to the amount of prepayments related to rental of real estate made within the Group. In accordance with the Management analysis, prepaid rents were taxable income at the date of their receipt, while the taxable expenses are accounted

for over the term of the lease. From accounting perspective the transaction has been eliminated within the consolidation adjustments, therefore at Group level, there is a deductible temporary difference between the accounting and tax value of prepayments made. As at 31 December 2016 the amount of the deferred tax asset of prepaid rents amounted to PLN 14,408 thousand, as at 31 December 2015 amounted to PLN 22,641 thousand and as at 31 December 2014 amounted to PLN 30,951 thousand.

During 2015, the Management Board decided to transfer marketing activities and operations regarding management of trademarks to Pol-Food Polska Sp. z o.o., which has already been operating in the Group and was responsible for managing private labels. As a result intangible assets in the form of a trademarks "Dino" and "Agro – Rydzyna" were transferred to Pol-Food Polska Sp. o.o.. Moreover staff responsible for these functions, previously employed by other group entities was transferred to Pol-Food Polska. The decision on reorganization was taken with the intention to create a specialized entity conducting marketing activities of the Group and managing trademarks. The use of the existing competences of employees Pol-Food Polska Sp. z. o.o., strengthened by employees of other companies, will allow to create within the Group professional competence center. It will improve the Group's operations, reduce its operating costs and provide better legal protection of trademarks. Transactions related to transfer of trademarks to Pol-Food Polska were made on the basis of the fair value of trademarks at the transaction date, and based on these values, they are depreciated for tax purposes by an entity in which they are as an effect of the reorganization. As a result of the above, there occurred temporary difference between the book value and the tax value of trademarks. The Management Board has made estimates of future tax results of Pol-Food Polska Sp. o.o. and the Group and made the judgements in terms of possibilities to include depreciation costs of trademarks to taxable cost. As at 31 December 2016 no deferred tax assets is recognized in reference to this difference.

In 2016, the Company received a dividend from a subsidiary in which the Company held 100% of the shares. Dividend benefited from the exemption from taxation due to the fact that the Company held 100% in the subsidiary for a period longer than 2 years (according to Art. 22 of the law on income tax from legal persons).

The Management Board has analyzed possibility of tax settlement of transactions described above on the basis of documentation owned, binding tax interpretations and professional judgement and presented in books and in consolidated financial statement transactions as described above. However the Management Board monitors interpretations of tax offices and tax law regulations changes occurring in Poland, therefore it is possible that the Management Board's estimations and opinion regarding accuracy of above described approach may be changed in the future.

On the basis of the authorization No. 204 dated 29 October 2010 and permission No. 289 dated 14 April 2014 issued by the Walbrzych Special Economic Zone "INVEST-PARK" Sp.z o.o., managing the Walbrzych Special Economic Zone, Dino Krotoszyn Sp. o.o. exempt from corporate tax in the economic activity covered by the authorization. This exemption is conditional. Using the exemption related to the activity in the Special Economic Zone may be inspected by empowered authorities. In case if the company does not meet or would not meet all the requirements, it may lose its exemptions and the tax liabilities with interest will be chargeable to pay. The Act on Special Economic Zones provide the loss of rights for exemptions if there is at least one of the circumstances:

- Company discontinuance business activity in the zone, which had a permission,
- Company grossly offend the conditions specified in the permission,
- Company does not remove the deficiencies observed during an inspection, within their removal date specified in the notice of the minister responsible for economic affairs,
- Company takes any form of ownership of the assets, which was related to tax exemption in the period shorter than 5 years from the date of entry in the records,
- Machinery and equipment will be commissioned to conduct business outside the zone,
- Company will receive a return of investment expenditure in any form,
- Company will be put into liquidation or will go bankrupt.

The occurrence of the above circumstances may cause that the amounts reported in the financial statements may change at a later date after the final decision of the tax authorities.

Dino Krotoszyn Sp. o.o. and as result the Group presented an asset arising from unused tax credits. As at 31 December 2016 maximum amount of the asset arising from it amounted to PLN 8,512 thousand. In 2016 Group presented an asset arising from unused tax credits in the amount of PLN 4,000 thousand (in 2015 in the amount of

PLN 4,000 thousand, and in 2014 in the amount of PLN 3,944 thousand). The recognized asset was based on the projected income for the period of 5 years, which reflects the foreseeable future. The basis for determining the maximum support intensity is 40% of eligible costs.

Tax revenues have been determined on the basis of long-term plans of the Group, which is based on increasing sales and increasing production capacity through the investments.

11. Non-current assets classified as held for sale

As at 31 December 2016, 31 December 2015 and 31 December 2014 there were no non-current assets classified as held for sale.

12. Earnings per share

The net earnings per share for each period is calculated by dividing the consolidated net profit for the given period attributable to ordinary share of the parent entity by the weighted average number of stocks in that reporting period.

The Group has no dilutive instruments.

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>	<i>Year ended</i> <i>31 December 2014</i>
Net profit attributable to ordinary shareholders	151,210	122,172	66,137
The number of shares for calculation (in thousands)	98,040	98,040	98,040
Earnings per share	1.54	1.25	0.67

On 1 December 2016 Extraordinary General Meeting adopted a resolution on the split shares by lowering the nominal value of share and increase the number of shares without decreasing share capital of the Company. The number of shares increased from 9,804,000 to 98,040,000. In accordance with the above-mentioned resolution exchange ratio of all shares of the Company is 1:10, ie. lists every one share of the Company with a nominal value of PLN 1.00 each for 10 shares of the Company with a nominal value of PLN 0.10 each. This change was registered by the appropriate court register on 27 December 2016.

13. Dividends paid and proposed for payment

In the period from 1 January 2014 to 31 December 2015, both the parent entity and its subsidiaries did not pay dividends. In 2016, subsidiaries paid the parent company dividends in the total amount of PLN 229,317 thousand.

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14. Property, plant and equipment

Year ended 31 December 2016	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Vehicles</i>	<i>Other tangible assets</i>	<i>Construction in progress</i>	<i>Total</i>
Gross book value as at 1 January 2016	843,752	155,286	15,149	120,746	40,488	1,175,421
Additions	-	-	-	-	379,184	379,184
Disposals	-	(187)	(624)	(107)	(30)	(948)
Liquidations	(654)	(755)	(290)	(4,433)	(930)	(7,062)
Transfer from construction in progress	273,857	52,737	11,223	39,589	(377,406)	-
Gross book value as at 31 December 2016	1,116,955	207,081	25,458	155,795	41,306	1,546,595
Accumulated depreciation as at 1 January 2016	43,853	55,370	3,505	48,494	-	151,222
Depreciation for the period	19,742	20,297	3,387	19,457	-	62,883
Disposal	-	(17)	(506)	(6)	-	(529)
Liquidations	(138)	(468)	(224)	(3,358)	-	(4,188)
Accumulated depreciation as at 31 December 2016	63,457	75,182	6,162	64,587	-	209,388
The net book value as at 1 January 2016	799,899	99,916	11,644	72,252	40,488	1,024,199
The net book value as at 31 December 2016	1,053,498	131,899	19,296	91,208	41,306	1,337,207

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Year ended 31 December 2015	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Vehicles</i>	<i>Other tangible assets</i>	<i>Construction in progress</i>	<i>Total</i>
Gross book value as at 1 January 2015	639,689	124,741	9,470	98,941	32,454	905,295
Additions	-	-	-	-	274,321	274,321
Disposals	-	(10)	(196)	(27)	(33)	(266)
Liquidations	(75)	(2,646)	(660)	(169)	(379)	(3,929)
Transfer from construction in progress	204,138	33,201	6,535	22,001	(265,875)	-
Gross book value as at 31 December 2015	843,752	155,286	15,149	120,746	40,488	1,175,421
Accumulated depreciation as at 1 January 2015	29,738	42,172	1,902	32,535	-	106,347
Depreciation for the period	14,190	15,733	2,291	16,119	-	48,333
Disposal	-	(3)	(86)	(7)	-	(96)
Liquidations	(75)	(2,532)	(602)	(153)	-	(3,362)
Accumulated depreciation as at 31 December 2015	43,853	55,370	3,505	48,494	-	151,222
The net book value as at 1 January 2015	609,951	82,569	7,568	66,406	32,454	798,948
The net book value as at 31 January 2015	799,899	99,916	11,644	72,252	40,488	1,024,199

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Year ended 31 December 2014	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Vehicles</i>	<i>Other tangible assets</i>	<i>Construction in progress</i>	<i>Total</i>
Gross book value as at 1 January 2014	488,978	101,019	10,295	77,579	39,242	717,113
Additions	-	-	-	-	197,227	197,227
Disposals	-	(27)	(588)	(26)	-	(641)
Liquidations	(158)	(2,355)	(3,031)	(2,489)	(371)	(8,404)
Transfer from construction in progress	150,869	26,104	2,794	23,877	(203,644)	-
Gross book value as at 31 December 2014	639,689	124,741	9,470	98,941	32,454	905,295
Accumulated depreciation as at 1 January 2014	18,272	31,161	3,287	21,564	-	74,284
Depreciation for the period	11,517	13,359	1,927	13,359	-	40,162
Disposal	-	(13)	(304)	(2)	-	(319)
Liquidations	(51)	(2,335)	(3,008)	(2,386)	-	(7,780)
Accumulated depreciation as at 31 December 2014	29,738	42,172	1,902	32,535	-	106,347
The net book value as at 1 January 2014	470,706	69,858	7,008	56,015	39,242	642,829
The net book value as at 31 January 2014	609,951	82,569	7,568	66,406	32,454	798,948

The carrying amount of property, plant and equipment used under financial leases as at 31 December 2016 amounted to PLN 166,410 thousand.

The carrying amount of property, plant and equipment used under financial leases as at 31 December 2015 amounted to PLN 129,200 thousand.

The carrying amount of property, plant and equipment used under financial leases as at 31 December 2014 amounted to PLN 98,350 thousand.

In the majority, equipment of stores and warehouses, cars, refrigerated trailer and forklift trucks are subject to lease agreements. The initial fee under the agreement does not exceed 10% of the contract value. The division of lease liabilities is presented in note 15.

In connection with the bank loans raised by the Group's, the collateral on assets were established (Note 23).

15. Leases

15.1. Finance lease liabilities

Future minimum lease payments under those agreements and the present value of net minimum lease payments as at 31 December 2016, 31 December 2015 and 31 December 2014 are as follows:

	31 December 2016		31 December 2015		31 December 2014	
	<i>Minimum payments</i>	<i>Present value of payments</i>	<i>Minimum payments</i>	<i>Present value of payments</i>	<i>Minimum payments</i>	<i>Present value of payments</i>
Within 1 year	45,159	41,588	37,161	34,620	30,190	27,646
Within 1 to 5 years	81,118	76,788	55,032	52,297	49,010	46,550
More than 5 years	-	-	7	7	495	486
Minimum lease payments, total	126,277	118,376	92,200	86,924	79,695	74,682
Less finance charges	(7,901)		(5,276)		(5,013)	
Present value of minimum lease payments,	118,376		86,924		74,682	
Short-term	41,588		34,620		27,646	
Long-term	76,788		52,304		47,036	

Leasing agreements include an option to purchase the leased object at the end of the contract.

15.2. Future minimum lease payments under operating leases (lease agreements)

As at 31 December 2016, on 31 December 2015 and as at 31 December 2014, the future minimum payments under operating leases (rental agreements) are as follows:

	31 December 2016	31 December 2015	31 December 2014
Within 1 year	19,130	15,905	13,877
Within 1 to 5 years	45,777	44,766	45,634
More than 5 years	18,594	20,232	15,619
	83,501	80,903	75,130

The Group rents under operating lease agreements approximately 17% of stores as well as storage areas in warehouses. Lease agreements for stores are signed on a fixed term with the possibility of extension for an indefinite period. The lease agreement of warehouse in Piotrków Trybunalski was concluded for a fixed term until 2018 with the possibility of renewal. A small part of stores have conditional fee depend on sales revenue.

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16. Intangible assets

Year ended 31 December 2016	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross book value as at 1 January 2016	64,989	17,025	15,587	97,601
Increases	-	-	3,138	3,138
Decreases	-	-	(22)	(22)
Gross book value as at 31 December 2016	64,989	17,025	18,703	100,717
Accumulated depreciation as at 1 January 2016	-	-	5,348	5,348
Depreciation for the period	-	-	2,319	2,319
Decreases	-	-	(22)	(22)
Accumulated depreciation as at 31 December 2016	-	-	7,645	7,645
The net book value as at 1 January 2016	64,989	17,025	10,239	92,253
The net book value as at 31 December 2016	64,989	17,025	11,058	93,072
Year ended 31 December 2015	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross book value as at 1st January 2015	64,989	17,025	12,190	94,204
Increases	-	-	3,397	3,397
Gross book value as at 31 December 2015	64,989	17,025	15,587	97,601
Accumulated depreciation as at 1 January 2015	-	-	3,504	3,504
Depreciation for the period	-	-	1,844	1,844
Accumulated depreciation as at 31 December 2015	-	-	5,348	5,348
Net book value as at 1 January 2015	64,989	17,025	8,686	90,700
Net book value as at 31 December 2015	64,989	17,025	10,239	92,253
Year ended 31 December 2014	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross book value as at January 1 2014	64,989	17,025	11,127	93,141
Increases	-	-	1,290	1,290
Decreases	-	-	(227)	(227)
Gross book value as at 31 December 2014	64,989	17,025	12,190	94,204
Accumulated depreciation as of 1 January 2014	-	-	2,013	2,013
Depreciation for the period	-	-	1,718	1,718
Decreases	-	-	(227)	(227)
Accumulated depreciation as at 31 December 2014	-	-	3,504	3,504
Net book value as at 1 January 2014	64,989	17,025	9,114	91,128
Net book value as at 31 December 2014	64,989	17,025	8,686	90,700

Other intangible assets consist of purchased licenses and software, which are amortized in accordance with the rules adopted by the Group.

Group presents goodwill and trademarks within the intangible assets with indefinite useful live. Group recognizes that "DINO" and "Agro-Rydzyna" trademarks are recognizable on the market and plans to use them in its activity for an indefinite time. According to that, Group assumes that trademarks useful life is considered to be indefinite and they are not amortized.

According to the assessment of the Management Board, goodwill resulting from the acquisition of Agro-Rydzyna Sp. o.o. and the value of trademarks should be considered from the point of view of the Group as a whole. As the result, goodwill and trademark should be allocated to the highest cash generating unit, which is the whole Group. Under this assumption, the Management Board conducted an impairment test of intangible assets and goodwill in accordance with the requirements of IAS 36. The realizable value of the unit was determined based on use value calculated using cash flow forecasts based on financial budgets including five-year period approved by the top management. Within the impairment test, the realizable value of the cash generating unit was compared to the carrying value of this unit.

Test has presented that as at 31 December 2016 or on any other day encompassed by consolidated financial statement, there were no basis for impairment of goodwill and trademarks presented by the Group.

Key assumptions used to calculate the recoverable amount

- recoverable amount of the unit was determined on a basis of use value, which were calculated using cash flow forecasts from a financial budgets including five-year period approved by the top management,
- assumed increase in annual projected revenues and expenses at the level of 3%,
- operating profit margins are based on average values achieved in the last period and the Group's Strategy adopted for the years 2016-2021, assumed average operating profit margin for forecast period is 6%,
- growth rate in the residual period is assumed at 2%,
- discount rate before tax effect on the level of 9.65%.

Sensitivity to changes in assumptions

Management is convinced that no reasonably possible change in any of the key assumptions referred to above will result that the carrying value of the unit will equalize its realizable value.

Impact of change in future discounted cash flow on selected key assumptions as at 31 December 2016 is presented below:

- increase/decrease of discount rate by 1pp will cause change of recoverable value of PLN (275,920) / 358,965 thousand accordingly,
- increase/decrease of operating profit margin by 1pp will cause change of recoverable value of PLN 461,555/(461,555) thousand accordingly,
- increase/decrease of growth rate in residual period by 1pp will cause change of recoverable value of PLN 278,909/(214,429) thousand accordingly.

In all above scenarios recoverable value exceeds carrying value of cash generating unit.

17. Other non-financial assets

	31 December 2016	31 December 2015	31 December 2014
Receivables from taxes (including VAT, excluding CIT)	21,368	18,182	10,620
Rental charges	10	1,902	3,989
Insurance	665	393	412
Other prepayments	404	265	379
Total	22,447	20,742	15,400
- short-term	22,447	20,742	13,515
- long-term	-	-	1,885

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18. Inventories

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Materials (at purchase price)	4,209	3,803	5,920
Finished products (at manufacturing cost)	4,246	2,483	2,623
Goods for sale (at net realizable value)	268,086	205,860	173,743
Total inventories, at the lower of purchase price (manufacturing cost) or net realizable value	276,541	212,146	182,286

In the years ended 31 December 2016, 31 December 2015 and 31 December 2014, the Company has not recognized write-downs of inventories.

19. Trade receivables and other receivables

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Trade receivables from third parties	27,409	14,148	13,834
Trade receivables from related parties	131	808	288
Other receivables from third parties	6,125	6,731	4,674
Total receivables (net)	33,665	21,687	18,796
Impairment write-down	(545)	(416)	(2,578)
Total receivables (gross)	34,210	22,103	21,374

Terms of transactions with related parties are presented in Note 29.

Trade receivables usually have a 14 - day payment term and consist mainly of receivables from suppliers related to marketing campaigns.

The Group has an accurate policy to deal with contractors. As a result, in the opinion of management, there is no additional credit risk that would exceed the impairment write-down recognized in trade receivables presented by the Group.

As at 31 December 2015 trade receivables and other receivables in the amount of PLN 545 thousand (as at 31 December 2014: PLN 416 thousand, as at 31 December 2014: PLN 2,578 thousand) were deemed unrecoverable and impaired. Changes in receivables allowance were as follows:

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Bad debt allowance as at 1 January	416	2,578	657
Additions	160	175	1,951
Utilization	(11)	(515)	(6)
Reversals	(20)	(1,822)	(24)
Bad debt allowance as at 31 December	545	416	2,578

Aging analysis was presented below as at 31 December 2016, 31 December 2015 and 31 December 2014 for the receivables which were overdue, but considered recoverable and not written off.

	<i>Total</i>	<i>Not overdue</i>	<i>Overdue but recoverable</i>			
			<i>< 30 days</i>	<i>31 – 90 days</i>	<i>91-180 days</i>	<i>>180 days</i>
<i>31 December 2016</i>	27,540	23,305	3,054	341	322	518

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<i>31 December 2015</i>	14,956	10,707	484	2,477	118	1,170
<i>31 December 2014</i>	14,122	12,824	763	84	128	323

20. Cash and cash equivalents

Cash in bank bears interest at variable rates, the level of which depends on the interest rate on overnight bank deposits. Short-term deposits are made for varying periods, from one day to one month, depending on the Group's current demand for cash, and they bear interest at respective interest rates. The fair value of cash and cash equivalents as at 31 December 2016 amounted to PLN 66,428 thousand (as at 31 December 2015 roku: PLN 33,920 thousand, as at 31 December 2014 roku: PLN 23,739 thousand).

The balance of cash and cash equivalents in the consolidated cash flow statement consists of the following items:

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Cash in bank and cash in hand	38,650	20,490	17,513
Short-term deposits	14,864	8,237	2,539
Other cash equivalents (cash in transit related to debit cards)	12,914	5,193	3,687
	66,428	33,920	23,739

21. Equity

21.1. Share capital

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Ordinary shares with a nominal value*	98,040,000	9,804,400	9,804,400

* The nominal value of one share in 2016 amounted to 0.10 PLN, nominal value of one share in 2015 and 2014 amounted to 1.00 PLN.

21.1.1. Nominal value of shares

All issued shares as at 31 December 2016, 31 December 2015 and 31 December 2014 have a nominal value of 0.10 PLN and have been fully paid.

On 1 December 2016 Extraordinary General Meeting adopted a resolution on the split shares by lowering the nominal value of share and increase the number of shares without decreasing share capital of the Company. The number of shares increased from 9,804,000 to 98,040,000. In accordance with the resolution exchange ratio of all shares of the Company is 1:10, ie. lists every one share of the Company with a nominal value of PLN 1.00 each 10 shares of the Company with a nominal value of PLN 0.10 each. This change was registered by the competent court of registration on 27 December 2016.

21.1.2. Shareholders with significant participation

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Tomasz Biernacki of the share capital	51%	51%	51%
of voting rights	51%	51%	51%
Polish Sigma Group S.a.r.l. of the share capital	49%	49%	49%
of voting rights	49%	49%	49%

22. Reserve capital and retained earnings

Reserve capital arose as a result of profits distributed by entities within the Group in previous financial years. During financial year ended 31 December 2016, reserve capital increased by PLN 117,701 thousand due to distribution of results of the entities within the Group. During financial year ended 31 December 2015, reserve capital increased by PLN 76,971 thousand due to distribution of results of the entities within the Group (during financial year ended 31 December 2014 - PLN 52,507 thousand).

22.1. Retained earnings and restrictions on dividend payments

Retained earnings of the Group contains also profits of companies, that have not been distributed. The effects of capital consolidation adjustments are also presented by the Group in line retained earnings. Among amounts presented in this line there are also amounts that are not subject to distribution, what means, cannot be paid in the form of dividends.

Statutory financial statements of DINO Poland S.A. are prepared in accordance with Polish accounting standards. The dividend may be paid based on profit determined in a separate annual financial statements prepared for statutory purposes.

In accordance with the requirements of the Code of Commercial Companies, the parent entity is obliged to create reserve capital to cover losses. At least 8% of the profit for the year reported in the separate financial statements of the parent entity should be transferred to reserve capital, until that capital reaches at least one third of the parent entity's share capital. General Meeting decides how to use the reserve capital, however, the part of reserve capital, which is one third of share capital can only be used to cover the losses reported in the separate financial statements of the parent entity and shall not be used for other purposes.

Some of the Group companies are parties to loan agreements which include limitations in terms of dividend payment as according to restrictions dividend can not be paid if it will cause a breach of the financial indicators.

23. Interest-bearing bank loans, borrowings and finance lease liabilities

	31 December 2016	31 December 2015	31 December 2014
Short-term			
Finance lease liabilities (Note 15.1)	41,588	34,620	27,646
Overdrafts	1,613	14,520	60,455
Investment loans	61,808	49,516	30,086
Loans for financing current operations	4,755	2,848	-
Loan	409	-	-
	110,173	101,504	118,187
Long-term			
Finance lease liabilities (Note 15.1)	76,788	52,304	47,036
Investment loans	354,117	297,224	238,926
Loans for financing current operations	19,998	12,246	-
Loan	1,475	-	-
	452,378	361,774	285,962

Lease agreements and loan agreements bear interest at a variable rate WIBOR plus margin.

The following table contains the key terms of loan agreements, including collaterals established on Group's assets.

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Type of liability	Signing date	The balance of liabilities as at 31 December 2016* (PLN thousand)	Interest rate	Date of repayment	Type of security
1. Loan Agreement BPH	2011-10-21	27,290	WIBOR + margin	2021-10-20	joint contractual mortgage, assignment of rights from insurance policy
2. Loan Agreement mBank	2013-11-22	2,502	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights from insurance policy
3. Loan Agreement mBank	2012-03-08	7,565	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights from insurance policy
4. Loan Agreement PKO BP	2012-01-26	-	WIBOR + margin	2017-10-28	joint contractual mortgage, assignment of rights from insurance policy
5. Loan Agreement PKO BP	2011-04-13	4,904	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights from insurance policy
6. Loan Agreement PKO BP	2013-05-23	55,069	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights from insurance policy
7. Loan Agreement PKO BP	2016-10-25	63,682	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights from insurance policy
8. Agreement on the debt limit Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	transfer of debts due to cards payment
9. Loan Agreement BZ WBK	2012-07-31	26,274	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights from insurance policy
10. Loan Agreement BZ WBK	2012-08-31	1,159	WIBOR + margin	2017-08-31	joint contractual mortgage, assignment of rights from insurance policy
11. Loan Agreement BZ WBK	2014-02-20	12,366	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights from insurance policy
12. Loan Agreement mBank	2014-01-09	21,698	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights from insurance policy
13. Loan Agreement ING	2014-04-15	45,834	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights from insurance policy
14. Loan Agreement BPH	2011-04-20	-	WIBOR + margin	2017-07-18	joint contractual mortgage, assignment of rights from insurance policy
15. Loan Agreement Bank Millennium	2014-12-18	12,862	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights from insurance policy
16. Loan Agreement mBank	2015-04-17	21,154	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights from insurance policy
17. Loan Agreement BZ WBK	2015-02-05	23,130	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights from insurance policy
18. Loan Agreement BZ WBK	2014-07-31	3,875	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights from insurance policy
19. Loan Agreement mBank	2009-12-22	-	WIBOR + margin	2017-12-07	joint contractual mortgage, registered pledge on inventories, assignment of rights from insurance policy
20. Loan Agreement mBank	2011-12-14	5,226	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights from insurance policy
21. Loan Agreement BZ WBK	2014-07-31	-	WIBOR + margin	2017-08-31	joint contractual mortgage, assignment of rights from insurance policy
22. Loan Agreement PKO BP	2016-10-25	11,350	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights from insurance policy

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23. Loan Agreement ING	2014-04-15	45	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights from insurance policy
24. Loan Agreement Millennium	2012-04-27	410	WIBOR + margin	2017-06-25	joint contractual mortgage, assignment of rights from insurance policy
25. Loan Agreement BZ WBK	2016-05-24	30,061	WIBOR + margin	2021-04-30	joint contractual mortgage, assignment of rights from insurance policy
26. Loan Agreement BZ WBK	2016-09-30	19,939	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights from insurance policy
27. Loan Agreement mBank	2016-08-16	30,170	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights from insurance policy
28. Loan Agreement mBank	2016-08-16	4,785	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights from insurance policy
29. Loan Agreement mBank	2016-04-11	-	WIBOR + margin	2017-10-09	joint contractual mortgage, assignment of rights from insurance policy
30. Loan Agreement Millennium	2016-05-12	11,890	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights from insurance policy
31. Loan Siemens	2016-02-24	1,884	WIBOR + margin	2021-02-28	note
RAZEM		445,124			

* Without commission.

In addition, loan and lease liabilities are secured with blank promissory notes.

Type of liability	Signing date	The balance of liabilities as at 31 December 2015* (PLN thousand)	Interest rate	Date of repayment	Type of security
1. Loan Agreement BPH	2011-10-21	32,378	WIBOR + margin	2021-10-20	joint contractual mortgage, assignment of rights from insurance policy
2. Loan Agreement mBank	2013-11-22	2,868	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights from insurance policy
3. Loan Agreement mBank	2012-03-08	9,078	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights from insurance policy
4. Loan Agreement PKO BP	2011-04-13	1,809	WIBOR + margin	2018-10-12	joint contractual mortgage, assignment of rights from insurance policy
5. Loan Agreement PKO BP	2011-04-13	5,927	WIBOR + margin	2021-04-11	joint contractual mortgage, assignment of rights from insurance policy
6. Loan Agreement PKO BP	2013-05-23	65,000	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights from insurance policy
7. Loan Agreement Bank Millennium	2012-04-27	1,431	WIBOR + margin	2016-06-25	joint contractual mortgage, assignment of rights from insurance policy
8. Loan Agreement PKO BP	2012-01-26	627	WIBOR + margin	2016-10-28	joint contractual mortgage, assignment of rights from insurance policy
9. Loan Agreement PKO BP	2011-11-22	27,000	WIBOR + margin	2017-11-21	joint contractual mortgage, assignment of rights from insurance policy

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10. Loan Agreement PKO BP	2012-12-05	30,205	WIBOR + margin	2018-12-04	joint contractual mortgage, assignment of rights from insurance policy
11. Agreement on the debt limit Raiffeisen	2011-12-20	1,269	WIBOR + margin	2016-12-02	transfer of debts due to cards payment
12. Loan Agreement BZ WBK	2012-07-31	30,980	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights from insurance policy
13. Loan Agreement BZ WBK	2012-08-31	1,798	WIBOR + margin	2016-08-31	joint contractual mortgage, assignment of rights from insurance policy
14. Loan Agreement PKO BP	2013-09-04	13,600	WIBOR + margin	2019-09-04	joint contractual mortgage, assignment of rights from insurance policy
15. Loan Agreement BZ WBK	2014-02-20	13,896	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights from insurance policy
16. Loan Agreement mBank	2014-01-09	24,884	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights from insurance policy
17. Loan Agreement ING	2014-04-15	1,097	WIBOR + margin	2016-04-14	joint contractual mortgage, assignment of rights from insurance policy
18. Loan Agreement ING	2014-04-15	21,152	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights from insurance policy
19. Loan Agreement BPH	2011-04-20	745	WIBOR + margin	2016-07-18	joint contractual mortgage, assignment of rights from insurance policy
20. Loan Agreement Bank Millennium	2014-12-18	15,710	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights from insurance policy
21. Loan Agreement mBank	2015-04-17	23,718	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights from insurance policy
22. Loan Agreement BZ WBK	2015-02-05	25,700	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights from insurance policy
23. Loan Agreement BZ WBK	2014-07-31	4,775	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights from insurance policy
24. Loan Agreement mBank	2009-12-22	1,562	WIBOR + margin	2016-12-08	joint contractual mortgage, registered pledge on inventories, assignment of rights from insurance policy
25. Loan Agreement mBank	2011-12-14	6,346	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights from insurance policy
26. Loan Agreement BZ WBK	2014-07-31	4,346	WIBOR + margin	2016-08-31	joint contractual mortgage, assignment of rights from insurance policy
27. Loan Agreement PKO BP	2012-08-14	9,234	WIBOR + margin	2022-06-30	joint contractual mortgage, assignment of rights from insurance policy
RAZEM		377,135			

* Without commission.

In addition, loan and lease liabilities are secured with blank promissory notes.

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Type of liability	Signing date	The balance of liabilities as at 31 December 2014* (PLN thousand)	Interest rate	Date of repayment	Type of security
1. Loan Agreement BPH	2011-10-21	37,821	WIBOR + margin	2021-10-20	joint contractual mortgage, assignment of rights from insurance policy
2. Loan Agreement mBank	2013-11-22	3,224	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights from insurance policy
3. Loan Agreement mBank	2012-03-08	10,560	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights from insurance policy
4. Loan Agreement PKO BP	2011-04-13	10,330	WIBOR + margin	2015-04-12	joint contractual mortgage, registered pledge on inventories, assignment of rights from insurance policy
5. Loan Agreement PKO BP	2011-04-13	7,023	WIBOR + margin	2021-04-11	joint contractual mortgage, assignment of rights from insurance policy
6. Loan Agreement PKO BP 5	2013-05-23	11,825	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights from insurance policy
7. Loan Agreement PBS	2011-12-21	306	WIBOR + margin	2015-04-30	joint contractual mortgage, assignment of rights from insurance policy
8. Loan Agreement Bank Millennium	2012-04-27	585	WIBOR + margin	2015-05-26	contractual mortgage, assignment of rights from insurance policy
9. Loan Agreement PKO BP	2012-01-26	24,889	WIBOR + margin	2015-07-31	joint contractual mortgage, registered pledge on inventories, assignment of rights from insurance policy
10. Loan Agreement PKO BP	2011-11-22	30,937	WIBOR + margin	2017-11-21	joint contractual mortgage, assignment of rights from insurance policy
11. Loan Agreement PKO BP	2012-12-05	34,014	WIBOR + margin	2018-12-04	joint contractual mortgage, assignment of rights from insurance policy
12. Agreement on the debt limit Raiffeisen	2011-12-20	11,407	WIBOR + margin	2016-02-08	transfer of debts due to cards payment
13. Loan Agreement BZ WBK	2012-07-31	35,626	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights from insurance policy
14. Loan Agreement BZ WBK	2012-08-31	220	WIBOR + margin	2015-08-31	joint contractual mortgage, assignment of rights from insurance policy
15. Loan Agreement PKO BP	2013-09-04	15,155	WIBOR + margin	2019-09-04	joint contractual mortgage, assignment of rights from insurance policy
16. Loan Agreement BZ WBK	2014-02-20	15,273	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights from insurance policy
17. Loan Agreement mBank	2014-01-09	28,022	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights from insurance policy
18. Loan Agreement ING	2014-04-15	3,838	WIBOR + margin	2016-04-14	joint contractual mortgage, assignment of rights from insurance policy
19. Loan Agreement ING	2014-04-15	21,090	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights from insurance policy
20. Loan Agreement BPH	2011-04-20	-	WIBOR + margin	2015-07-18	joint contractual mortgage, assignment of rights from insurance policy
21. Loan Agreement PKO BP	2006-03-10	3,954	WIBOR + margin	2015-04-19	joint contractual mortgage, Registered pledge on machines of Agro-Rydzyňa Sp. z o.o., assignment of rights from insurance policy
22. Loan Agreement mBank	2009-12-22	2,774	WIBOR + margin	2015-12-10	joint contractual mortgage, registered pledge on inventories of Agro-Rydzyňa Sp. z o.o., assignment of rights from insurance policy

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23. Loan Agreement mBank	2011-12-14	7,465	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights from insurance policy
24. Loan Agreement BZ WBK	2014-07-31	2,475	WIBOR + margin	2015-08-31	joint contractual mortgage, assignment of rights from insurance policy
25. Loan Agreement PKO BP	2012-08-14	10,654	WIBOR + margin	2022-06-30	joint contractual mortgage, assignment of rights from insurance policy
RAZEM		329,467			

* Without commission.

In addition, loan and lease liabilities are secured with blank promissory notes.

24. Provisions for employee benefits

Entities within the Group pay retiring employees the amount of retirement benefits specified by the Labour Code. Therefore, based on the valuation made by a professional actuary, Group recognises a provision for the current value of liabilities due to retirement benefits.

Summary of benefits, the amount of the provision and changes during the period are presented in the table below:

	<i>Retirement benefits</i>	<i>Benefits of the incentive program</i>	<i>Total</i>
Opening balance as at 1 January 2016	830	-	830
Current employment costs	543	5,666	6,209
Actuarial gains and losses	(37)	-	(37)
Benefits paid	(19)	-	(19)
Interest costs	24	-	24
Closing balance as at 31 December 2016	1,341	5,666	7,007
Short-term provisions	226	5,666	5,892
Long-term provisions	1,115	-	1,115

The conditions of the incentive program are described in Note 29.4 and in Note 35.

	<i>Retirement benefits</i>	<i>Total</i>
Opening balance as at 1 January 2015	582	582
Current employment costs	227	227
Actuarial gains and losses	12	12
Benefits paid	(4)	(4)
Interest costs	13	13
Closing balance as at 31 December 2015	830	830
Short-term provisions	72	72
Long-term provisions	758	758

	<i>Retirement benefits</i>	<i>Total</i>
Opening balance as at 1 January 2014	401	401
Current employment costs	143	143
Actuarial gains and losses	22	22
Interest costs	16	16
Closing balance as at 31 December 2014	582	582
Short-term provisions	49	49
Long-term provisions	533	533

Key assumptions used in the valuation of employee benefits are as follows:

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Discount rate	3.50%	2.90%	2.30%
Expected inflation rate	2.50%	2.50%	2.50%
Employee turnover ratio	14.50%	14.90%	15.10%
Expected rate of wage growth	3.50%	3.50%	3.50%
The weighted average duration of liabilities arising from employee benefits	8.71	11.83	11.95

Sensitivity analysis

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Changing the assumed discount rate by 0.5 percentage point:

	<i>Increase (PLN thousand)</i>	<i>Decrease (PLN thousand)</i>
31 December 2016		
The impact on liability of the defined benefit	(56)	61
31 December 2015		
The impact on liability of the defined benefit	(47)	52
31 December 2014		
The impact on liability of the defined benefit	(33)	37

Changing the assumed wages rate by 0.5 percentage point :

	<i>Increase (PLN thousand)</i>	<i>Decrease (PLN thousand)</i>
31 December 2016		
The impact on liability of the defined benefit	64	(59)
31 December 2015		
The impact on liability of the defined benefit	59	(54)
31 December 2014		
The impact on liability of the defined benefit	41	(38)

25. Trade payables, other payables and accruals

25.1. Trade payables and other financial liabilities (short-term)

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
To related parties	5,082	4,893	7,833
To other entities	446,386	334,621	260,571
Trade payables	451,468	339,514	268,404
Remuneration payable to employees	21,911	15,756	12,818
Investment liabilities to related parties	58,284	41,788	36,999
Investment liabilities to other entities	10,999	10,476	5,634
Other liabilities	685	622	496
Other liabilities	91,879	68,642	55,947
Total	543,347	408,156	324,351

Terms and conditions of the above financial liabilities:

Terms of transactions with related parties are presented in Note 29 of additional information and explanation.

Trade payables are valued at adjusted purchase price at balance sheet day (note 7.16) and settled within various payment terms between 14 – 60 days depending on the subject of transaction.

Other liabilities are usually settled with an average 30 day payment term.

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25.2. Other non-financial liabilities

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Taxation, customs duties, social security and other payables			
Income tax	10,268	3,368	4,608
VAT	8,997	4,910	1,747
Personal income tax	3,939	2,833	1,583
Social security	17,450	13,118	9,742
Other	692	178	197
Total	41,346	24,407	17,877
- short-term	41,346	24,407	17,877
- long-term	-	-	-

25.3. Accruals

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Accrued expenses due to:			
Unused holidays	12,705	8,947	8,078
Audit of financial statements	263	100	120
Other (including accrued compensation, bonuses)	259	750	88
Deferred income arising from:			
Grants	87	72	76
Total	13,314	9,869	8,362
- short-term	13,227	9,796	8,286
- long-term	87	73	76

26. Explanatory notes to the consolidated statement of cash flows

The reasons for the differences between the changes resulting from the consolidated statement of financial position and the changes resulting from the consolidated statement of cash flow are presented in the following tables:

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Change in trade receivables and other in consolidated statement of financial position	(11,979)	(2,891)	(1,985)
Change in receivables from the disposal of fixed assets	(427)	(356)	-
Change in budget receivables	(3,186)	(7,618)	61,201
Change in income tax receivables	-	57	(175)
Change in receivables in consolidated statement of cash flows	(15,592)	(10,808)	59,041

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	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>	<i>Year ended</i> <i>31 December 2014</i>
Change in liabilities in consolidated statement of financial position	251,704	149,463	1,094
Change in loans	(67,822)	(46,887)	(32,730)
Change in finance lease liabilities	(31,452)	(12,242)	(7,526)
Change in investment payables	(18,306)	(7,371)	(1,810)
Change in income tax liabilities	(6,900)	1,241	(4,541)
Change in liabilities in consolidated statement of cash flows	127,224	84,204	(45,513)

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>	<i>Year ended</i> <i>31 December 2014</i>
Change in provisions in consolidated statement of financial position	11,088	(870)	(439)
Change in deferred tax liabilities	(4,910)	984	688
Change in provisions in consolidated statement of cash flows	6,178	114	249

27. Investment liabilities

As at 31 December 2016, the Group has committed to incur expenses under concluded preliminary agreements for the purchase of land in the amount of PLN 68,998 thousand (as at 31 December 2015: PLN 78,923 thousand, as at 31 December 2014: PLN 56,308 thousand).

28. Contingent assets and liabilities

As at 31 December 2016, 31 December 2015 and 31 December 2014 the Group had no other contingent liabilities than those mentioned in Note 28.1.

28.1. Lawsuits

As at 31 December 2016, 31 December 2015 and 31 December 2014 law cases in proceeding were related mainly to employee matters, which in the opinion of the Management Board did not result in material claims.

28.2. Other lawsuits

As at the date of the consolidated financial statements the Group was plaintiff in a lawsuit for damages in the amount of PLN 529 thousand due to the removal of physical defects in purchased building and compensation for loss of profit in the amount of PLN 1,695 thousand. At the date of signing these consolidated financial statements the above matter was in the course of proceeding. The Management Board is not able to assess the final settlement and the effects of the judgment, but in the Management opinion, the risk of loss is low.

28.3. Tax settlements

Tax settlements, together with other areas of legal compliance (e.g. customs or foreign exchange law) are subject to review and investigation by a number of authorities, which are entitled to impose severe fines and penalties. The lack of reference to well established regulations in Poland results in the lack of clarity and integrity in the regulations. Frequent contradictions in legal interpretations both within government bodies and between companies and government bodies create uncertainties and conflicts. These phenomena cause that tax risk in Poland is significantly higher than those typically found in countries with more developed tax systems.

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Tax authorities may inspect the accounting records within up to five years following the end of the year in which the tax payments were to be made. Consequently, the Group may be subject to additional tax liabilities, which may arise as a result of additional tax inspections. The Management Board assessed that as at 31 December 2016, 31 December 2015 and 31 December 2014 there is no requirement to create any additional provisions for known and quantifiable tax risks.

29. Related party disclosures

The table below presents the total values of transactions with related parties entered into during the financial period ended 31 December 2016, 31 December 2015 and 31 December 2014:

<i>Related party</i>	<i>Sales to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>		<i>Financial expenses - interest</i>
Group key management (members of the Board)						
2016	1	-	-	-		-
2015	1	-	-	-		-
2014	21	-	10	-		-
Board of directors						
2016	-	-	-	-		-
2015	-	-	-	-		-
2014	-	-	-	-		-
	<i>Sales to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>	<i>loans granted</i>	<i>Financial expenses - interest</i>
<i>Related party by shareholder with majority participation</i>						
Zakłady Mięsne „Biernacki” Tomasz Biernacki						
2016	3	571	3	53	-	-
2015	6	578	8	50	-	-
2014	13	757	6	59	-	(67)
Davi Przedsiębiorstwo Handlowe Sp. z o.o.*						
2016	2	1,616	-	-	-	-
2015	24	3,729	-	449	-	-
2014	111	17,729	-	2,863	-	-
ITECOM Sp. z o.o.**						
2016	-	-	-	-	-	-
2015	13	15,933	-	2,347	-	-
2014	28	10,512	3	1,571	-	-
BT Development BT Kapitał Sp. z o.o. Sp.k.						
2016	16	1,552	3	402	-	-
2015	12	1,137	1	109	-	-
2014	31	906	5	78	-	-
BT Inwestycje Sp. z o.o.						
2016	-	7	-	-	-	-
2015	-	21	-	5	-	-

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	2014	-	-	3	-	-	-
<i>Inwestycje BT Kapitał Sp. z o.o. SKA</i>							
	2016	-	92	-	-	-	-
	2015	-	200	-	-	-	-
	2014	-	-	-	-	-	(348)
<i>Krot Invest KR Inżynieria Sp. z o.o. SKA</i>							
	2016	552	160,336	53	57,686	-	-
	2015	206	118,417	619	39,031	-	-
	2014	135	48,370	54	31,839	-	-
<i>Krot Invest 2 KR Inżynieria Sp. z o.o. Sp.k.</i>							
	2016	12	7,594	1	2,015	-	-
	2015	5	6,341	165	480	-	-
	2014	89	62,592	-	5,676	-	-
<i>Zielony Rynek 1 BT Kapitał Sp. z o.o. Sp.k.</i>							
	2016	2	433	1	51	-	-
	2015	-	417	-	54	-	-
	2014	5	457	-	27	-	-
<i>Zielony Rynek 2 BT Kapitał Sp. z o.o. Sp.k.</i>							
	2016	5	206	1	37	-	-
	2015	7	13	3	3	-	-
	2014	2	-	1	-	-	-
<i>Zielony Rynek 3 BT Kapitał Sp. z o.o. Sp.k.</i>							
	2016	20	1,571	1	170	-	-
	2015	5	1,286	-	174	-	-
	2014	7	947	4	83	-	-
<i>Zielony Rynek 4 BT Kapitał Sp. z o.o. Sp.k.</i>							
	2016	-	1,296	-	142	-	-
	2015	-	973	-	152	-	-
	2014	-	586	-	90	-	-
<i>Zielony Rynek 6 BT Kapitał Sp. z o.o. Sp.k.</i>							
	2016	-	3,730	30	249	-	-
	2015	-	2,691	-	1,168	-	-
	2014	-	-	-	-	-	-
<i>Zielony Rynek BT Kapitał Sp. z o.o. SKA</i>							
	2016	-	-	-	-	-	-
	2015	-	-	1	-	-	-
	2014	-	-	-	-	54	(281)
<i>Mleczarnia Naramowice Sp. z o.o.</i>							
	2016	183	18,590	25	1,073	-	-
	2015	124	15,188	10	1,606	-	-
	2014	88	13,623	31	1,571	-	-
<i>Elvares Enerprises</i>							
	2016	-	-	-	-	-	-

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	2015	-	-	-	-	-	-
	2014	-	-	-	-	-	(355)
<i>Related party by shareholder with minority participation</i>							
Harper Hygienics S.A.							
	2016	-	1,856	-	492	-	-
	2015	-	1,319	-	441	-	-
	2014	-	1,108	-	361	-	-
Hoop Polska Sp. z o.o.							
	2016	-	4,489	-	942	-	-
	2015	-	3,047	-	501	-	-
	2014	158	2,867	170	471	-	-
Dystrybucja Polska Sp. z o.o.							
	2016	-	23	-	-	-	-
	2015	-	484	-	46	-	-
	2014	-	132	-	64	-	-
EP Serwis S.A.							
	2016	-	86	-	-	-	-
	2015	-	103	-	2	-	-
	2014	1	122	-	12	-	-
<i>Related party by key personnel</i>							
Agrofirma Spółdzielcza							
	2016	8	-	13	-	-	-
	2015	3	-	-	-	-	-
	2014	3	-	-	-	-	-
TBE Sp. z o.o.							
	2016	5	711	1	55	-	-
	2015	59	546	1	63	-	-
	2014	8	491	1	67	-	-

* Since 22 June 2016, DAVI Trading Company sp. z o.o. is no longer an affiliate of Tomasz Biernacki due to the transactions made after that date are presented as transactions with other entities

** Since 5 March 2015, ITECOM sp. z o.o. is no longer an affiliate of Tomasz Biernacki due to the transactions made after that date are presented as transactions with other entities

Group purchases wine from Bartex - Bartol Sp. o.o. Sp.k. that come from the majority shareholder. In 2016, the value of such purchases amounted to PLN 3,299 thousand (2015: PLN 2,229 thousand, in 2014: PLN 2,008 thousand).

29.1. Term of transactions with related parties

Terms of the transactions concluded by the Group with other related parties for the year ended 31 December 2016, 31 December 2015 and 31 December 2014 did not differ from market conditions.

29.2. Loans to the Management Board

As at 31 December 2016, 31 December 2015 and 31 December 2014 the Group did not grant any loans to members of the Management Board.

29.3. Other transactions involving the members of the Management Board

As at 31 December 2016, 31 December 2015 and 31 December 2014 there were no other than those mentioned in these consolidated financial statements transactions involving members of the Management Board.

29.4. Remuneration of the Group's senior management

	<i>Year ended</i> 31 December 2016	<i>Year ended</i> 31 December 2015	<i>Year ended</i> 31 December 2014
Management Board of the Parent Entity			
short-term employee benefits (salaries)	1,224	1,039	817
Supervisory Board of the Parent Entity			
short-term employee benefits (salaries)	501	306	146
Total	1,725	1,345	963

As at the date of preparation of the consolidated financial statements, the Company runs an incentive program, which policy is set by the resolution of the General Meeting of Shareholders held at 28 April 2016 and changed by the resolution of the General Meeting of Shareholders held at 20 January 2017. ("**Incentive Program**"). According to the principles of the Incentive Program, participant can be only Management Board members and executives reporting directly to Management Board members ("**Entitled**"). Complete list of Entitled employees is carried out by the Supervisory Board. Entitled employees are obligated to sign an agreement, which is regulating the rules of participation in the Incentive Program. Agreement determines the number of Participation Units granted to the Entitled employees, on which Entitled employees have a right to receive cash benefits ("**Participation Units**"). The amount of cash benefits based on the Participation Units depends on Final Offering Share Price To Institutional Investors and in case of Participation Units 2 (according to definition described below). When not all shares are sold by the Selling Shareholder, on price of next package of shares sold by the Selling Shareholder. As at the date of preparation of the consolidated financial statements except for Management Board members only one employee is Entitled. Total number of Entitled employees may not be higher than six. Entitled employees are named by resolution of the Supervisory Board meeting, the decision regarding the choice is made by the Supervisory Board itself or on the recommendation of the Board.

Entitled employees are chosen by the Management Board and presented to the Supervisory Board which makes the final decision of including the employee in the Incentive Program.

Incentive Program involves the grant of the selected Eligible two types of Participation Units, which differ i.a. in terms of the realization of the rights of the Shares and in the amount of due benefits due. Upon fulfillment of the conditions established in the Incentive Program, Entitled will have a right to receive cash benefit from the Company due to realization of the Units entitled to them. The Entitled may lose this right if, i.a.: (i) Entitled employment with the Company will cease for reasons attributable to Entitled; or (ii) the Entitled will violate binding obligations to the Company in the range of non-competition or the protection of business secrets, after the cease of employment (iii) Entitled will not cooperate with the Company and its shareholders with the Offering.

Incentive Program will be valid until the day of sale all Selling Shareholder Shares, but no later than 31 May 2026. If Selling Shareholder will continue to be a shareholder of the Company after 31 May 2026, the rights arises from unrealized parts of the Incentive Program will expire.

*The first phase of Participation Units execution ("**Participation Units 1**")*

Entitled to purchase Participation Units 1 are only members of the Management Board. According to the principles of the Incentive Program Management Board members are entitled to cash benefits from the realization of their Participation Units 1 in total amount of PLN 1.5 million, provided the budget for the financial year 2014 is met.

Due to the fact that the budget for the indicated period has been met, subject to the Incentive Program, Szymon Piduch and Michał Krauze are entitled to receive cash benefits in the amount of 1.2 million PLN and PLN 0.3 million respectively ("**Execution Amount 1**"). Each of the members of the Management Board will be obliged to

purchase on the offert Shares with a value corresponding to 1/3 of the Execution Amount 1 net and to not sell shares purchased this way within two years from the date of the commencement of trading the shares on Warsaw Stock Exchange. Payment of this part of Execution Amount 1 will be made on an escrow account lead for the Management Board members individually no later than next working day following final fixing of the price of shares offered to institutional investors ("**Price Fixing Day**"). Remaining part of the Execution Amount 1, ie 2/3 of the Execution Amount 1 will be paid within 30 days from the Price Fixing Day on a bank account lead for each of the Management Board members. The price for which Management Board members will buy the shares based Participation Units 1 owned will be equal to final price of shares offered to institutional investors. In case an Entitled employee subscribes for lower number of shares then he is entitled to due to the Participation Units 1 owned, the cash benefit on the escrow account which should be spent to purchase share will be transferred back to the Company as contractual penalty.

*The second phase of Participation Units Execution ("**Participation Units 2**")*

Entitled to purchase of Participation Units 2 are members of the Management Board and one other employee. According to the Incentive Program Entitled employees are entitled to receive cash benefits from the realization of their Participation Units 2 ("**Execution Amount 2**"). The Execution Amount 2 shall be granted provided that the total following conditions are satisfied: (i) budget for any of the financial years: 2014, 2015 and 2016 is met, and (ii) rate of return on the investment made by the Selling Shareholder (the "**Rate of Return**") exceeds a particular level (the Rate of Return will be determined taking into account such variables as the price of the Shares in the Offering, the value of investments made by the Selling Shareholder in the Company and the total number of Shares).

The exact value of the Execution Amount 2 due to each Entitled employee for Participation Units 2 will be determined taking into account, the following variables: (i) the level of budget execution for the years 2014-2016, (ii) ratio of number of Shares sold under the Offer to total number of shares belonging to the Selling Shareholder at the day of the Offer, (iii) value the Rate of Return. Each of the Entitled employees is obliged to purchase shares in the Offer of value amounting from 33% to 50% of Execution Amount 2 net, depending on value of the Rate of Return. The Entitled employees will be obliged to purchase the shares for final price of shares offered to institutional investors and to not sell shares purchased this way within two years from the date of the commencement of trading the shares on Warsaw Stock Exchange. Payment of the part of Execution Amount 2 for which the Entitled employees will be obliged to purchase shares will be made on an escrow account of the Entitled employee no later than Price Fixing Day. Remaining part of the Execution Amount 2, ie 50% - 67% of the Execution Amount 2 net will be paid within 30 days from the Price Fixing Day on a bank account of the Entitled employee. In case an Entitled employee subscribes for lower number of shares then he is entitled to due to the Participation Units 2 owned, the cash benefit on the escrow account which should be spent to purchase share will be transferred back to the Company as contractual penalty.

In case not all the shares are sold by the Selling Shareholder in the offer, Entitled employees will receive further cash benefits in the amount determined taking into account, the following variables: (i) the level of budget execution for the years 2014-2016, (ii) ratio of number of Shares sold in each pack to total number of shares belonging to the Selling Shareholder at the day of the Offer, (iii) value the Rate of Return, actual to each next sold pack of shares by the Selling Shareholder. Each of the Eligible employees is obliged to purchase shares in the Offer of value amounting from 33% to 50% of Execution Amount 2 net, depending on value of the Rate of Return ("**Next Execution Amount 2**"). Each Next Execution Amount 2 net will be paid within 30 days from the date of selling corresponding pack of shares. Entitled Employee will be obliged to purchase shares on secondary market of value amounting from 33% to 50% of corresponding Next Execution Amount 2 net (depending on value of Rate of Return) within 7 days from the day of receiving corresponding Next Execution Amount 2 and not selling shares purchased this way within two years from the date of the commencement of trading the shares on Warsaw Stock Exchange. In case of not compliance with the obligation of purchase of the shares for the corresponding next Execution Amount 2 net each of the Entitled employees will be obliged to pay to the Company a penalty amounting PLN 30 thousand for each such case.

Total Execution amount 2 will not exceed PLN 7 million, except that Szymon Piduch and Michał Krauze are entitled to receive cash benefits in the maximum amount, PLN 5 million and PLN 1 million respectively.

Due to the current Incentive Program the Company has recognized a provision for benefits from incentive program in the amount of PLN 5,666 thousand (note 9.3 and note 9.24).

The costs of the program are settled during the vesting period for payments from the incentive scheme that is from the date of the establishment of a program that is from April 2016 in a linear up to the expected date of realisation of the program.

30. Information on the fee of the statutory auditor or the entity authorized to audit of financial statements

The table below presents the fee of the entity authorized to audit of financial statements, which was paid or is due for the year ended 31 December 2016, 31 December 2015 and 31 December 2014 by type of services:

<i>Type of service</i>	<i>Year ended 31 December 2016*</i>	<i>Year ended 31 December 2015*</i>	<i>Year ended 31 December 2014*</i>
obligatory audit of the consolidated financial statements	273	208	150
other services	414	69	-
Total	686	277	150

* refer to Ernst & Young Audyt Polska spółka z ograniczoną odpowiedzialnością sp. k.

31. Objectives and principles of managing financial risk

The main financial instruments which the Group uses are bank loans, bonds, financial lease agreements and lease with option to buy, cash and short-term deposits. The main objective of these instruments is to obtain funding for the Group's activities. The Group also has other financial instruments, such as trade receivables and payables, which arise directly in the course of its business.

The principle currently used by the Group and throughout the period encompassed by the financial statements is not to trade the financial instruments.

The main types of risk arising from the Group's financial instruments include interest rate risk, liquidity risk, exchange risk and credit risk. The Management Board of the Parent Entity verifies and agrees the principles of managing each of these types of risk – these principles are discussed briefly below.

31.1. Interest rate risk

The Group's exposure to risk incited by interest rate changes primarily applies to long-term financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments.

Interest rate risk - sensitivity to changes

The table below presents the sensitivity of the profit before tax to the specified changes in interest rates, assuming the lack of variability of other factors (includes variable interest rate liabilities). There are no impacts on equity or total revenue of the Group.

	<i>Increase/ decrease by percentage points</i>	<i>Effect on profit or loss before tax</i>
Year ended 31 December 2016		
PLN	+ 1	(5,299)
PLN	- 1	5,299
Year ended 31 December 2015		

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PLN	+ 1	(5,078)
PLN	- 1	5,078
Year ended 31 December 2014		
PLN	+ 1	(4,475)
PLN	- 1	4,475

31.2. Credit risk

Transactions conducted by the Group are settled mainly in cash. Credit risk concerns one franchisee, with whom is carried out long-term cooperation and marketing support transactions for suppliers. Due to the fact that the marketing support services concern suppliers who are also customers of the Group, the credit risk is negligible.

31.3. Liquidity risk

The Group monitors financial liquidity using regular payment planning. The schedule of funds held, together with the terms of their maturity (cash, accounts receivable, other financial assets) with regular payments of liabilities enables cash flow to be forecast.

In order to maintain continuity of payment, the Group flexibly uses various sources of financing, such as bank loans both long-term and overdrafts, financial leases.

The table below presents the Group's financial liabilities as at 31 December 2016, 31 December 2015 and 31 December 2014 according to the maturity date on the basis of contractual, non-discounted payments.

31 December 2016	<i>On demand</i>	<i>To 1 year</i>	<i>From 1 year to 5 year</i>	<i>Over 5 year</i>	<i>Total</i>
Interest-bearing loans	-	81,901	355,860	50,745	488,506
Other liabilities (financial leases)	-	45,159	81,118	-	126,277
Trade payables and other payables	-	543,497	-	-	543,497
	-	670,557	436,978	50,745	1,158,280

31 December 2015	<i>On demand</i>	<i>To 1 year</i>	<i>From 1 year to 5 year</i>	<i>Over 5 year</i>	<i>Total</i>
Interest-bearing loans	-	77,542	277,518	56,911	411,971
Other liabilities (financial leases)	-	37,161	55,032	7	92,200
Trade payables and other payables	-	409,085	-	-	409,085
	-	523,788	332,550	56,918	913,256

31 December 2014	<i>On demand</i>	<i>To 1 year</i>	<i>From 1 year to 5 year</i>	<i>Over 5 year</i>	<i>Total</i>
Interest-bearing loans	-	100,931	203,320	60,922	365,173
Other liabilities (financial leases)	-	30,190	49,010	495	79,695
Trade payables and other payables	-	325,973	-	-	325,973

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-	457,094	252,330	61,417	770,841
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32. Financial instruments

32.1. The fair value of each class of financial instruments

According to the assessment of the Group, the fair value of cash, short-term deposits, trade receivables, trade payables, bank overdrafts and finance lease liabilities does not differ from the carrying amounts.

	<i>Carrying amount</i>		
	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
<i>Financial assets - loans and receivables</i>			
Trade receivables	27,540	14,956	14,122
<i>Total</i>	<i>27,540</i>	<i>14,956</i>	<i>14,122</i>
Cash and cash equivalents	66,428	33,920	23,739

	<i>Carrying amount</i>		
	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
<i>Long-term financial liabilities - at amortized cost</i>			
Interest-bearing loans	375,590	309,470	238,926
Finance lease liabilities	76,788	52,304	47,036
<i>Total</i>	<i>452,378</i>	<i>361,774</i>	<i>285,962</i>
<i>Short-term financial liabilities - at amortized cost</i>			
Interest-bearing loans	68,585	66,884	90,541
Finance lease liabilities	41,588	34,620	27,646
Trade payables	451,468	339,514	268,404
<i>Total</i>	<i>561,641</i>	<i>441,018</i>	<i>386,591</i>

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32.2. Items of income, expenses, gains and losses recognized in profit and loss items by categories of financial instruments

Year ended at 31 December 2016

	<i>Income / (expense) on interest</i>	<i>Exchange gains (losses)</i>	<i>Impairment reversal/(write down)</i>	<i>Valuation gains (losses)</i>	<i>Gains (losses) on financial instruments disposals</i>	<i>Other</i>	<i>Total</i>
<i>Financial assets</i>							
Trade receivables	367	-	(140)	-	-	-	227
Cash and cash equivalents	73	-	-	-	-	-	73
Total	440	-	(140)	-	-	-	300

	<i>Income / (expense) on interest</i>	<i>Exchange gains (losses)</i>	<i>Impairment reversal/(write down)</i>	<i>Valuation gains (losses)</i>	<i>Gains (losses) on financial instruments disposals</i>	<i>Other</i>	<i>Total</i>
<i>Financial liabilities</i>							
Interest-bearing loans	(15,016)	-	-	-	-	-	(15,016)
Finance lease liabilities and lease agreements with purchase option	(3,454)	-	-	-	-	-	(3,454)
Trade payables	(10,355)	(161)	-	-	-	-	(10,516)
Other financial liabilities	(621)	-	-	-	-	-	(621)
Total	(29,446)	(161)	-	-	-	-	(29,607)

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Year ended at 31 December 2015

	<i>Income / (expense) on interest</i>	<i>Exchange gains (losses)</i>	<i>Impairment reversal/(write down)</i>	<i>Valuation gains (losses)</i>	<i>Gains (losses) on financial instruments disposals</i>	<i>Other</i>	<i>Total</i>
<i>Financial assets</i>							
Trade receivables	-	28	1,647	-	-	-	1,675
Cash and cash equivalents	60	-	-	-	-	-	60
Total	60	28	1,647	-	-	-	1,735
	<i>Income / (expense) on interest</i>	<i>Exchange gains (losses)</i>	<i>Impairment reversal/(write down)</i>	<i>Valuation gains (losses)</i>	<i>Gains (losses) on financial instruments disposals</i>	<i>Other</i>	<i>Total</i>
<i>Financial liabilities</i>							
Interest-bearing loans	(13,456)	-	-	-	-	-	(13,456)
Finance lease liabilities and lease agreements with purchase option	(2,905)	-	-	-	-	-	(2,905)
Trade payables	(8,024)	-	-	-	-	-	(8,024)
Other financial liabilities	(537)	-	-	-	-	-	(537)
Total	(24,922)	-	-	-	-	-	(24,922)

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Year ended at 31 December 2014

	<i>Income / (expense) on interest</i>	<i>Exchange gains (losses)</i>	<i>Impairment reversal/(write down)</i>	<i>Valuation gains (losses)</i>	<i>Gains (losses) on financial instruments disposals</i>	<i>Other</i>	<i>Total</i>
<i>Financial assets</i>							
Trade receivables	113	-	(1,927)	-	-	-	(1,814)
Cash and cash equivalents	40	-	-	-	-	-	40
Total	153	-	(1,927)	-	-	-	(1,774)
	<i>Income / (expense) on interest</i>	<i>Exchange gains (losses)</i>	<i>Impairment reversal/(write down)</i>	<i>Valuation gains (losses)</i>	<i>Gains (losses) on financial instruments disposals</i>	<i>Other</i>	<i>Total</i>
<i>Financial liabilities</i>							
Interest-bearing loans	(14,690)	-	-	-	-	-	(14,690)
Finance lease liabilities and lease agreements with purchase option	(3,221)	-	-	-	-	-	(3,221)
Trade payables	(7,040)	(76)	-	-	-	-	(7,116)
Other financial liabilities	(1,635)	-	-	-	-	-	(1,635)
Total	(26,586)	(76)	-	-	-	-	(26,662)

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32.3. Interest rate risk

The following table presents the carrying value of the Group's financial instruments exposed to interest rate risk, specified by age categories.

31 December 2016	<i><1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>>5 years</i>	<i>Total</i>
Finance lease liabilities	41,588	56,020	20,768	-	118,376
Bank loans	68,585	145,056	181,778	48,756	444,175
31 December 2015	<i><1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>>5 years</i>	<i>Total</i>
Finance lease liabilities	34,620	40,981	11,316	7	86,924
Bank loans	66,112	139,558	115,599	55,085	376,354
31 December 2014	<i><1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>>5 years</i>	<i>Total</i>
Finance lease liabilities	27,646	41,374	5,176	486	74,682
Bank loans	90,544	88,406	92,321	58,196	329,467

Interest-bearing loans, borrowings and finance lease liabilities bear interest at a variable interest rate. Interest on financial instruments with variable interest is updated in periods of less than one year. Other financial instruments of the Group, which were not included in the above tables are non-interest bearing and therefore not subject to interest.

33. Equity management

The main objective of capital management is to maintain a good credit rating and safe capital ratios to support its business and maximize value for its shareholders.

The Group manages its capital structure and as a result of changes in economic conditions, amends it. In order to maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. In the years ended 31 December 2016, 31 December 2015 and 31 December 2014 there were no changes to the objectives, policies and processes in this area.

The Group monitors capital using a gearing ratio, which is calculated as the ratio of net debt to total equity plus net debt. Net debt includes interest-bearing loans and borrowings, trade payables and other payables minus cash and cash equivalents.

	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2014</i>
Interest-bearing loans and finance lease liabilities	562,551	463,278	404,149
Trade payables and other payables	574,726	429,195	337,620
Less cash and cash equivalents	(66,428)	(33,920)	(23,739)
Net debt	1,070,849	858,553	718,030
Total equity	683,476	532,235	410,073
Equity and net debt	1,754,325	1,390,788	1,128,103
The leverage ratio	61%	62%	64%

34. Employment structure

Employment in the Group in the year ending 31 December 2016, 31 December 2015, and 31 December 2014 was as follows:

	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Year ended 31 December 2014</i>
Management Board of the parent entity	2	2	2
White-collar workers	1,501	1,057	912
Blue-collar workers	9,137	7,711	6,355
Total	10,640	8,770	7,269

35. Post balance sheet date events

After the balance sheet date, the Selling Shareholder and the Management Board members agreed on the initial conditions of the incentive program, which will be valid regardless of the Incentive Program described in note 29.4.

Szymon Piduch and Michał Krauze ("**Participants**") will be the sole beneficiaries of the incentive program, which will be established for them by the Selling Shareholder. Detailed rules for the incentive program will be established in the agreements between the Participants and the Selling Shareholder ("**Selling Shareholder Incentive Program**"). At the conclusion of appropriate participate agreements of the Selling Shareholder's Incentive Program, Participants will receive one unit of participation, on which base they will be entitled to receive cash benefits, which amount is related to the price gained from sale of Shares ("**Units**") by Selling Shareholder.

Upon fulfillment of the conditions established in the Selling Shareholder's Incentive Program, Participants will have a right to receive cash benefit from the Selling Shareholder due to realization of the Units entitled to them. The Participants may lose this right if, i.a.: (i) Participant's employment with the Company will cease for reasons attributable to Participant; or (ii) the Participant will violate binding obligations to the Company in the range of non-competition or the protection of business secrets, after the cease of employment.

Selling Shareholder's Incentive Program will be valid until the day of sale all Selling Shareholder Shares, but no later than 31 May 2026. If Selling Shareholder will continue to be a shareholder of the Company after 31 May 2026, the rights arising from unrealized parts of the Selling Shareholder's Incentive Program will expire.

According to the assumptions of the Selling Shareholder's Incentive Program, Participants will have a right to cash benefits due to the realization of Units entitled to them, only if i.a. the IPO will amount in total from PLN 3.75 million to PLN 7.5 million, which will depend on the price of the Shares sold by the Selling Shareholder ("**Payout Amount**"). Value of Payout Amount for individual members of the Board is as follows: PLN 3.1 million - 6.2 million PLN for Szymon Piduch and PLN 0.65 million - 1.3 million PLN for Michał Krauze. The amount of the payouts will be paid to the Shareholders in proportion to the number of Shares sold by each Selling Shareholder, including connection with the sale of the Offering Shares.

Payment of benefits in the event the Offering

Participants will be entitled to obtain (all or part) Payout Amount for the Offering calculated in relation to the Final Offered Shares Price to Institutional Investors and the ratio of the number of Shares finally offered in the Offering to the total number of Shares held by the Selling Shareholder at the day of Offer ("**IPO Payout Amount**"). Each of the Participants will be required to purchase Offering Shares of the value corresponding to 50% net IPO Payout Amount and keep such purchased Shares within two years from the first day of listing of the Shares on the Warsaw Stock Exchange. Participants will acquire shares within the Offer as Investors of Management Tranche. The claim for payment the part of the IPO Payout Amount, spend on the purchase Offering Shares, will be deducted from the claim for payment of the purchase price of the appropriate number of Offering Shares.

The remaining amount, i.e. about half of the IPO Payout Amount, will be paid to a bank account held for each member of the Management Board within 14 days from the date of record of the Shares on the securities Investors of Management Tranche accounts. The price at which Board members will acquire Shares in implementation of

the rights of the Units, will be equal to the Final Offered Shares Price to Institutional Investors. In the case when the Board member will sign on a smaller number of shares, than is required in the line of entitled Units, Participant will be required to pay contractual penalty to the Selling Shareholder, which will be equivalent of the amount that would be spent on the purchase of shares by the Participant, and which has not been spend on this objective.

Payment of benefits in the event of a further realization

In the case of not sell by the Selling Shareholder all Offering Shares, the Participants will be entitled to further cash benefits in the amount calculated in each case in relation to the price of the Shares sold by the Selling Shareholder and the ratio of the number of shares sold in the further package of the Shares to the total number of Shares held by the Selling Shareholder on Offer ("**Further Payout Amount**"). Any further net pay will be paid within 14 days from the date of sale of each new package of Shares. The Participants will be required to purchase Shares on the secondary market worth 50% net Further Payout Amount within 7 days from the receipt date of the each Further Payout Amount, unless such acquisition occurs directly from the Selling Shareholder in a transaction, in which the Selling Shareholder will sell held Shares and will not sell acquired Shares within two years from the date of acquisition. In the case of not fulfillment the obligation to acquire the Shares for each above part of net Further Payout Amount, each Participant will be required to pay contractual penalty to the Selling Shareholder, which will be equivalent of the amount that would be spent on the purchase of shares by the Participant, and which has not been spend on this objective.

In the assessment of the Management Board, in addition to the above-mentioned issue, after the balance sheet date does not occurred other significant events requiring disclosure in the consolidated financial statements.

36. Independent auditor's report

The Polish original should be referred to in matters of interpretation.
Translation of auditor's report originally issued in Polish.

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of 'Dino Polska' S.A.

Report on the Audit of the Consolidated Financial Statements

For the purpose of this Prospectus and in accordance with the requirements of the Commission Regulation (EC) No. 809/2004 of 29 April 2004 implementing Directive 2003/71/EC of the European Parliament and of the Council as regards information contained in prospectuses as well as the format, incorporation by reference and publication of such prospectuses and dissemination of advertisements ('the Regulation'), we have audited the accompanying consolidated financial statements of 'Dino Polska' S.A. Capital Group ('the Group'), with parent's company 'Dino Polska' S.A. ('the Company') registered office located in Krotoszyn, Ostrowska 122, which comprise the consolidated statement of profit and loss and the consolidated statement of other comprehensive income for the years ended 31 December 2016, 31 December 2015 and 31 December 2014, the consolidated statement of financial position as at 31 December 2016, 31 December 2015, 31 December 2014, the consolidated statement of changes in equity and the consolidated statement of cash flow for the years ended 31 December 2016, 31 December 2015, 31 December 2014, accounting policies and other explanatory notes ('the accompanying consolidated financial statements').

Responsibilities of the Management Board and members of the Supervisory Board for the consolidated financial statements

The Management Board is responsible in accordance with the Accounting Act dated 29 September 1994 ('the Accounting Act'), regulations issued on the basis of the Accounting Act for the preparation of the consolidated financial statements and fair presentation in accordance with International Accounting Standards, International Financial Reporting Standards and related Interpretations announced in the form of European Commission regulations ('International Financial Reporting Standards as adopted by European Union') and other applicable laws. The Management Board is also responsible for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error. According to the Accounting Act the Management Board and members of the Supervisory Board are required to ensure that the consolidated financial statements meet the requirements of the Accounting Act.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our responsibility is to express an opinion on accompanying consolidated financial statements based on our audit.

We conducted our audit in accordance with chapter 7 of the Accounting Act and National Auditing Standards in the version of International Standards on Auditing as adopted by Resolution no 2783/32/2015 of the National Council of Statutory Auditors dated 10 February 2015 with subsequent amendments ('National Auditing Standards'). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

In accordance with National Auditing Standard 320 point 5 the concept of materiality is applied by the auditor both in planning and performing the audit, and in evaluating the effect of identified misstatements on the audit and of uncorrected misstatements, if any, on the consolidated financial statements and in forming the opinion in the auditor's report. Hence all

DINO POLSKA S.A. CAPITAL GROUP

Consolidated Financial Statements for the years ended 31 December 2016, 31 December 2015 and 31 December 2014,
prepared in accordance with the International Financial Reporting Standards approved for use in the EU
Summary of significant accounting policies and other explanatory notes.
(PLN thousands)

~~auditor's assertions and statements contained in the auditor's report, including those on other information or regulatory requirements, are made with the contemplation of the qualitative and quantitative materiality levels established in accordance with auditing standards and auditor's professional judgement.~~

~~We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.~~

Opinion

~~In our opinion, the accompanying consolidated financial statements give a true and fair view of the financial position of the Capital Group as at 31 December 2016, 31 December 2015 and 31 December 2014 and its financial performance and its cash flows for the period from 1 January 2016 to 31 December 2016, from 1 January 2015 to 31 December 2015 and from 1 January 2014 to 31 December 2014 in accordance with International Financial Reporting Standards as adopted by European Union and accounting policies.~~

Warsaw, 24 February 2017

Key Certified Auditor

Lukasz Wojciechowski
certified auditor
No. 12273

on behalf of
Ernst & Young Andyt Polska spółka z
ograniczoną odpowiedzialnością sp. k.
Rondo ONZ 1, 00-124 Warsaw
Reg. No 130